Draft Affordable Housing Paper , The Home@ix Formula.

The Home@ix Ethos
See Pattern 79, Full Book PDF

in the imperishable primal language of the human heart house means my house, your house, a man's own house. The house is the winning throw of the dice which man has wrested from the uncanniness of universe; it is his defense against the chaos that threatens to invade him. Therefore his deeper wish is that it be his own house, that he not have to share with anyone other than his own family. (Martin Buber, *A Believing Humanism: Gleanings*, New York: Simon and Shuster, 1969, p. 93.)

A common element in all these cases is the understanding that the successful development of a household's "home" depends upon these features: Each household must possess a clearly defined site for both a house and an outdoor space, and the household must own this site in the sense that they are in full control of its development.

Therefore:

Do everything possible to make the traditional forms of rental impossible, indeed, illegal. Give every household its own home, with space enough for a garden. Keep the emphasis in the definition of ownership on control, not on financial ownership. Indeed, where it is possible to construct forms of ownership which give people control over their houses and gardens, but make financial speculation impossible, choose these forms above all others. In all cases give people the legal power, and the physical opportunity to modify and repair their own places. Pay attention to this rule especially, in the case of high density apartments: build the apartments in such a way that every individual apartment has a garden, or a terrace where vegetables will grow, and that even in this situation, each family can build, and change, and add on to their house as they wish.

For the shape of the house, begin with building complex (95). For the shape of the lot, do not accept the common notion of a lot which has a narrow frontage and a great deal of depth. Instead, try to make every house lot roughly square, or even long along the street and shallow. All this is necessary to create the right relation between house and garden—half-hidden garden (111).

Video By Roger during Lockdown Streamed live on Sep 19, 2020

Who are you? You and Me, us our and Them? UR reality. A week is a long time in Politics

Title: A Reflection on Recent Events and Policy Goals

As we look back over the past 12 months, the prospect of a second full lockdown in the UK looms on the horizon. As a businessman with a background in property development, I find myself reflecting on my journey through life, particularly as I recently celebrated my 56th birthday. This milestone has prompted me to contemplate the future and the broader implications of our current circumstances.

Having retired at the age of 39, I embarked on a new phase of my career, which led me to re-launch my business last autumn. Subsequently, I made the decision to invest my pensions independently, believing I could achieve better returns than traditional investment options. This journey has taken me from living in Scandinavia for the past 10 years to frequent travels to the UK, particularly in light of recent family visits and business endeavors.

In the midst of these personal reflections, I have also been exploring various literary pursuits, including writing poetry and engaging in discussions about economic and social issues through various platforms. My recent involvement with Yumpu, a magazine platform, has allowed me to compile and share my thoughts on a range of topics, from investment strategies to artistic expressions.

One of the key themes that has emerged from my recent activities is a critical examination of global policy goals, particularly those outlined in UN Agenda 21 and Agenda 2030. These policy objectives have significant implications for various aspects of society, and it is essential to engage in informed discussions about their potential impact.

Furthermore, I have been vocal about the influence of prominent figures such as Bill Gates and Warren Buffett, emphasizing the need for a balanced approach to considering their perspectives within the broader societal discourse. It is crucial to critically evaluate the actions and statements of influential individuals, especially when they pertain to public health and economic policies.

As we navigate through these complex and challenging times, it is imperative to uphold principles of democratic engagement and free speech. Constructive dialogue and informed debate are essential for addressing the multifaceted issues we face as a global community.

In conclusion, my recent experiences have underscored the importance of thoughtful reflection and active participation in shaping the future. By engaging in open and respectful discourse, we can work towards a more inclusive and equitable society.

As I continue to navigate through these dynamic times, I am committed to contributing to meaningful conversations and endeavors that promote positive change. It is my hope that these reflections will inspire others to engage in similar introspection and dialogue as we collectively strive for a better future.

Thank you for taking the time to consider these reflections. I look forward to continuing these discussions and endeavors in the days ahead.

Awake! awake O sleeper of the land of shadows, wake! Expand!

Title: Reflections on Richard Rorty's Vision of the Future, **Streamed live on 10 Dec 2021**

In 1996, American pragmatist Richard Rorty penned an article for the New York Times titled "Fraternity Reigns," offering a thought-provoking vision of the future. Rorty's piece takes us on a journey to the end of the 21st century, reflecting on the societal and political changes that occurred during the dark years of 2014 to 2044.

Rorty's insightful analysis delves into the evolving political vocabulary and the shifting dynamics between the moral and economic orders. He highlights the societal transformation that led future generations to question the moral implications of economic disparities that were once deemed acceptable by their ancestors.

The article explores the historical context, drawing parallels between past struggles such as slavery and the contemporary challenges of economic inequality. Rorty delves into the evolution of political discourse, emphasizing the transition from a rights-based framework to a focus on fraternity and solidarity.

Furthermore, Rorty addresses the intersection of capitalism and democracy, shedding light on the complexities and tensions that arise from their coexistence. He examines the impact of economic ideologies on societal well-being, urging readers to contemplate the delicate balance between individual rights and collective welfare.

Rorty's narrative extends beyond political theory, delving into societal values and cultural shifts. He discusses the resurgence of fraternity as a cherished ideal, emphasizing the importance of fellow feeling and empathy in shaping a cohesive society.

The article also touches upon the global landscape, comparing America's position in the world at the turn of the 21st century with its historical exceptionalism. Rorty reflects on America's evolving role in global affairs and its redefined place in the international community.

As we reflect on Rorty's vision of the future, it prompts us to consider the enduring relevance of his insights in our contemporary context. His exploration of societal transformation, economic ideologies, and moral evolution serves as a compelling framework for evaluating our present-day challenges and aspirations.

In conclusion, Rorty's article offers a profound reflection on the interplay between politics, economics, and societal values. His visionary outlook invites us to contemplate the trajectory of human progress and the enduring quest for a harmonious and just society.

As we navigate the complexities of our modern world, Rorty's words continue to resonate, urging us to strive for a future guided by fraternity, solidarity, and empathic understanding.

THE PROPERTY LOBBY WITH RANJAN AND ROGER **Streamed live on 20 Jun 2021**

The Property Lobby: The Hidden Reality behind the Housing Crisis by Bob Colenutt.

Title: A Critical Review of the Housing Crisis and Economic Dynamics

In the wake of the global financial crisis of 2008, the housing market has been a subject of intense scrutiny. The book "The Property Lobby: The Hidden Reality Behind the Housing Crisis" by Bob Colenutt offers a compelling analysis of the complex interplay between the property lobby, finance, and housing markets. This review aims to provide an in-depth assessment of the key themes and insights presented in the book.

Colenutt's exploration of the finance-house building complex sheds light on the intricate power dynamics and ideological roadblocks that have perpetuated the housing crisis in the UK. Drawing from Naomi Klein's quote in "This Changes Everything," Colenutt skillfully deconstructs the mechanics of the transition and highlights the entrenched power structures that hinder meaningful change on a scale necessary to address the housing crisis.

The chapters in the book offer a comprehensive examination of critical aspects such as the housing shortage, house building business, financing, property lobby, and the impact of the 2008

financial crash. The author delves into local case studies and proposes solutions to unblock the impasse, providing a well-rounded understanding of the multifaceted challenges within the housing sector.

One of the most striking revelations in the book is the revelation of how the property lobby, referred to as the finance-house building complex, has played a significant role in exacerbating the housing crisis. Colenutt meticulously dissects the influence of this lobby on shaping national housing and planning policies, shedding light on its role in perpetuating the crisis.

The analysis also touches upon the impact of macroprudential regulations and international finance on housing markets. The book provides a critical assessment of how foreign acquisitions of urban land for long-term investment have reshaped global land ownership patterns, signaling a new alignment of power in land and housing markets.

Furthermore, Colenutt's review of the Callcutt report on house building delivery offers valuable insights into the challenges faced by the industry. The report's conclusion that there was no evidence of house builders holding onto land longer than necessary raises crucial questions about land banks, planning permissions, and rapid build-out rates.

The review also delves into the issue of price fixing in public lands, highlighting concerns about foreign ownership and bidding for land in major cities. The author's exploration of Saskia Sassen's analysis of a global scramble for urban land underscores the profound impact of strategic land acquisitions on housing markets.

In conclusion, "The Property Lobby: The Hidden Reality Behind the Housing Crisis" presents a thought-provoking examination of the intricate forces at play in the housing sector. Colenutt's incisive analysis offers valuable insights into the structural challenges and power dynamics that underpin the housing crisis. This review aims to encourage further discourse and critical reflection on these pressing issues.

As we navigate the complexities of housing policy and economic dynamics, it is imperative to engage with rigorous research and critical analysis to inform informed decision-making and drive meaningful change in addressing the housing crisis.

Thank you for taking the time to engage with this critical review. Your thoughtful consideration of these vital issues is paramount as we collectively strive to shape a more equitable and sustainable housing landscape.

The Pulling up of the Affordable Housing Ladder. **Streamed live on Jun 4, 2022**

Post-2000 after the Millenium celebrations a Year 2 k bug appeared in the UK property market which has repeated everywhere in the G7. This year 2K bug decimated the Affordable Housing sector, the effect was a Pulling of the housing ladder up behind those who were at the top of the Ladder, leaving Millennials, Gen x, and Gen z stranded in a desert of Student debt and ever-increasing rentals. At Home@ix we have mapped the breakdown of the market from nineteen 95, all the way up to 2022 , in terms of how the average price has changed effectively, it shows a migration Of value and activity to the top half of the Housing Ladder rungs 50 to 100.
https://www.loveproperty.com/gallerylist/55171/uk-house-prices-from-the-year-you-were-born-to-today

https://www.allagents.co.uk/house-prices-adjusted/

Home@ix Understanding Affordable housing and Mortgage finance

In this broadcast, we are examining the withdrawal or pulling up of the housing ladder post-2000, after the millennium celebrations. The year 2000 bug appeared in the UK property market, decimating the affordable housing sector for both homebuyers and renters. This has left millennials, generation X, and generation Z stranded in a desert of student debt and ever-increasing rentals.

The presentation begins with a detailed analysis of the breakdown of the market from 1995 to 2022, showing the migration of value and activity to the top part of the housing ladder, defined as rungs 50 to 100. The data, extracted from the land registry for England and Wales, illustrates the shifts in average house prices and the number of transactions in different value bands.

The market began to split into two groups around 2000, with a pronounced drop in volumes and the emergence of two peaks in specific value bands. This trend represents the widening of the north-south divide in the UK, particularly between London and the southeast versus the rest of the country. It accelerated the erosion of affordable purchasing opportunities and had a significant impact on mortgage lending figures.

Following the global financial crisis, there was a drastic drop in sales volumes at the affordable end of the market. While there have been fluctuations in average house prices over the years, the dominant market has shifted towards the higher end of the property ladder.

The data clearly indicates a skewing of activity towards the top half of the property ladder, with a pull-up of the ladder on the

bottom half. This has resulted in a significant increase in average prices, particularly in the top half of the market.

As we look at the data from 2020 to 2022, it becomes evident that the top half of the property ladder continues to dominate in terms of activity and price increases. The average UK price in March 2022 was significantly higher than the previous year, reflecting a continued skewing to the right.

These trends highlight the challenges faced by individuals in accessing affordable housing, especially for those at the lower end of the market. It also underscores the need for policies and initiatives to address this imbalance and ensure that housing remains accessible to all segments of society.

In conclusion, the analysis of housing market trends post-2000 reveals a clear shift in activity and pricing towards the top half of the property ladder, leaving behind significant challenges for those seeking affordable housing options. This calls for a comprehensive approach to address these issues and ensure a more balanced and **inclusive housing market for all.**

Data in Spread Sheet
housing market banded-country-England and Wales-by-district-old and newbuild-1995 to may 2022

Moduloft tests the Urban Splash COnfigurator by House. #Moduloft #AffordablebyDesign **Streamed live on 21 Sept 2020**

In a recent demonstration, Roger Lewis from Moduleoft Real Estate Land Developments Limited showcased the Urban Splash House Configurator, an online design app that allows users to customize their own apartments. As Moduleoft focuses on modular and affordable design, they are keenly interested in exploring competitors and admired companies such as Urban Splash. Lewis expressed his enthusiasm for the potential of similar customization in Moduleoft's units, which are set to be produced in their upcoming pop-up factories across the UK.

While attempting to access the Urban Splash House Configurator, Lewis encountered difficulties with the app's optimization and loading process. Despite several attempts, the app failed to load, prompting Lewis to consider potential reasons for the technical issues. He speculated whether it was due to his broadband connection, the Google browser, or the Linux operating system he was using. However, he emphasized that such technical challenges should not arise, as the app's operations are primarily server-based.

During the waiting period, Lewis shared his admiration for Urban Splash's developments, particularly noting the clean and well-

designed spaces showcased in the slideshow. He also highlighted the quality associated with offsite manufacturing and praised the attractive features of the Urban Splash houses.

As the app continued to struggle with loading, Lewis took the opportunity to discuss other aspects of Moduleoft's offerings, including their plans for developments, affordable products, and a mortgage company. He encouraged viewers to explore their website and provided information on registering for their products.

Despite the setbacks, Lewis remained optimistic about the potential of the Urban Splash House Configurator and expressed his eagerness to explore its features. He also acknowledged the possibility of trying to access the app from a Windows machine in the future to assess if it yields better results.

In conclusion, Lewis signed off from the demonstration, expressing his continued interest in affordable and modular design while acknowledging the technical challenges faced during the live broadcast. He emphasized Moduleoft's commitment to offering innovative solutions and looked forward to potential success in utilizing tools such as the Urban Splash House Configurator in their future projects.

Housing Market debate House of Lords Volume 825: debated on Thursday 17 November 2022

Volume 825: debated on Thursday 17 November 2022 That this House takes note of the multiple problems affecting all tenures in the housing market in England; and the case for a coherent strategy to encompass the social, economic, and environmental aspects of housing and construction. Baroness Warwick of Undercliffe Opening the Debate on the above motion. Looking at affordability, the latest ONS figures show that the average UK house price was £296,000 in August 2022, up 14.3% over the previous year in England. Prices in England have gone up by 76% since 2012. Despite regional differences, all areas have experienced increased prices. Average house prices in London, despite it having the lowest annual house price growth rate, remain the most expensive of any region in the UK. The ONS also estimates that full-time employees can typically expect to spend around 9.1 times their workplace-based annual earnings on purchasing a home in England, compared to 3.5 times in 1997. The number of new social rented homes has fallen by over 80% since 2010. The Government committed in their 2019 manifesto to build 300,000 new homes annually by the mid-2020s. I hope the Minister will tell the House what plans are in place to deliver on those numbers, given the stark facts I have listed. We currently face a grave affordable housing crisis which continues to worsen, with 4.2 million people currently in need of social housing in England. Understanding the scale and types of housing need across the country is essential for planning effective policy responses and informing the debate around the

need for new homes. People in Housing Need, a report published by the National Housing Federation last December, found that half a million more families are in need of social housing than are recorded on official housing waiting lists. Two million children in England—one in every five—are living in overcrowded, unaffordable or unsuitable homes. Some 1.3 million of these children are in need of social housing, as this is the only suitable and affordable type of home for their families. Need for social housing has risen in all parts of the country, yet the supply of social rented housing has fallen, as I have said, by 85% since 2010-11, with the number of social rent homes available for letting each year also falling since 2014-15. We are living through a severe crisis of housing supply and affordability, which is increasing housing vulnerability. Long-term investment in social housing would provide people with suitable homes that they can afford and support the Government's commitment to level up disadvantaged communities across the country. Last year, housing associations built more than 38,000 new homes. Building these homes directly added £2.1 billion to the national economy, supporting more than 36,000 jobs. Housing associations in England currently provide 2.8 million homes for 6 million people, housing 11% of the population. The lower rents they charge save tenants £9 billion annually, making significant savings for the Treasury by bringing down the housing benefit bill. However, current inflationary pressures are having a significant impact on housing associations' ability to deliver new developments. According to data commissioned from the Centre for Economics and Business Research, material costs for repairs and maintenance have increased by 14% and it is 12.3% more expensive to build new homes than it was last year. Although Section 106 is not perfect, it delivers significant numbers of affordable homes; currently around 50% of all new affordable housing is delivered in this way. It is vital that the energy efficiencies of homes are greatly improved. Over 60% of social homes are certified EPC C or above, but other tenures average just under 40%. Currently, 23% of privately rented homes are non-decent, rising to 29% of homes privately rented by people receiving housing support. Some 16% of owner-occupied homes and 12% of social housing homes are currently non-decent. The recent appalling case in Lancashire reinforces this point. Reform in the sector is often piecemeal and disjointed, as illustrated by the fact that we have had five different Housing Ministers in the past year and 14 different Ministers since 2010. Affordable housing is a key driver of economic growth. Managing and maintaining housing associations' existing homes directly adds £11 billion to the national economy annually. Housing associations are an essential part of the housing market.

Right to buy: Past, present and future

https://lordslibrary.parliament.uk/right-to-buy-past-present-and-future/

The policy known as ‘right to buy’ gives local authority housing tenants the power to purchase their home at a discounted rate. The government has recently announced plans to extend the right to buy to housing association tenants. The conditions of right to buy have been regularly changed since its introduction in 1980. Recent trials have tested how it could be extended to housing association tenants.

Table of contents

- 1. A history of right to buy
- 1.1 Before ‘right to buy’
- 1.2 Housing Act 1980
- 1.3 Further changes before 2010
- 1.4 Coalition government and increased discounts
- 1.5 Right to buy and housing associations
- 2. How many houses were sold under right to buy and were they replaced?
- 2.1 Housing sales
- 2.2 Local authority construction
- 2.3 Housing association construction
- 3. What was the impact of the right to buy on tenure and the affordability of social housing?
- 3.1 Home ownership versus rentals
- 3.2 Availability and affordability of social housing
- 4. What is the potential impact of an expansion of right to buy to housing association tenants?

Local authority tenants have been able to purchase their homes since 1936. This article summarises the legislative changes around the sale of local authority properties since the policy was introduced. It examines how many properties have been sold under this policy and whether they have been replaced. It also discusses the impact the policy has had on the availability of social housing and the potential for future expansion to housing associations.

1. A history of right to buy

The terms for purchase of local authority housing have been altered on multiple occasions since the policy was first introduced. The most well-known changes were enacted by the Housing Act 1980 and the policy has been known since as 'right to buy'. This section gives a brief overview of the changes to the policy from 1919 to the present day.

1.1 Before 'right to buy'

Legislation on the construction and sale of local authority housing was introduced from the end of the first world war onwards:

- The Housing, Town Planning, &c. Act 1919 introduced council housing to the UK for the first time.
- The Housing Act 1936 permitted local authorities to sell their social housing stock to tenants with ministerial consent.
- The House Purchase and Housing Act 1959 removed the requirement of ministerial consent for sale. Tenants were still unable to purchase their home without agreement from the local authority.

1.2 Housing Act 1980

In 1980, the then government passed legislation which enabled many local authority tenants to buy their home at a discounted rate. This followed a pledge in the 1979 Conservative Party manifesto to give local authority tenants the 'right to buy' their own home. The manifesto said that helping people into home ownership was one of party's "five tasks". After winning the subsequent general election, the new Conservative government introduced the Housing Act 1980. This act gave the tenants of over 5mn local authority houses in England and Wales the right to purchase their home. The Tenants' Rights, Etc. (Scotland) Act 1980 applied the same policy in Scotland. A separate house sales scheme in Northern Ireland involved small differences. There was no obligation under these acts for councils to use receipts from housing sales for construction of new social housing.

The right to buy was conditional on the length of tenancy. It extended to local authority tenants of three or more years. A discount was offered to help tenants, who were often on low incomes. The minimum discount was 33%, increasing by 1% for every further year of tenancy above three years. The maximum discount could not exceed £50,000, equivalent to just over £200,000 in 2022. These discounts had to be paid back if the property was sold within five years. Tenants also had the right to a mortgage from their local authority.

1.3 Further changes before 2010

Changes were made to right to buy during the 1980s and 1990s. These mostly increased eligibility and uptake. Changes made by legislation included:

- The Housing and Building Control Act 1984 extended the scheme to tenants on long leases and reduced the tenure requirement to two years. It also increased the discount to a maximum of 60% after 30 years tenancy.
- The Housing Act 1985 was a consolidating act. Current right to buy legislation is provided for in this act.
- The Housing and Planning Act 1986 increased discounts for flats to 44% after two years, reaching a maximum of 70% after 15 years. The resale penalty was also reduced so discounts only had to be repaid on sales within three years.
- The Housing Act 1988 introduced 'delay notices', which gave compensation to tenants whose landlords delayed implementing a sale.
- The Leasehold Reform, Housing and Urban Development Act 1993 removed the right to a local authority mortgage.
- The Housing Act 1996 introduced a right to acquire for housing association tenants. Tenants qualified after two years but with much smaller discounts than under right to buy.

The Commons Library briefing 'Introducing a voluntary Right to Buy for housing association tenants in England' (15 June 2022) provides further information.

Devolution led to a divergence in policy between the constituent UK nations. In 1997, powers for housing were devolved to Wales and Scotland. These nations subsequently adopted different policies which removed the right to buy:

- The Housing (Scotland) Act 2014 abolished right to buy in Scotland.
- The Abolition of the Right to Buy and Associated Rights (Wales) Act 2018 abolished right to buy in Wales.

The house sale scheme in Northern Ireland will also end in August 2022 for housing association tenants, as stipulated in the Housing (Amendment) Act (Northern Ireland) 2020. Tenants of the Northern Ireland Housing Executive are not affected and will still be able to access the Housing Executive's right to buy scheme.

Changes made after 1997 reduced the incentive to purchase. Right to buy discounts in England were reduced in February 1999 to between £22,000 and £38,000 depending on the region. Discounts were reduced again in 2003 to a maximum of £16,000 except in the most expensive areas of London and the southeast where they remained at £38,000. The qualifying period was increased from two to five years in the Housing Act 2004. This act also introduced an

obligation for those wishing to sell their home within 10 years of purchase to offer the property at market value to the former landlord or successor organisation.

1.4 Coalition government and increased discounts

The Conservative-Liberal Democrat coalition government made further changes to the scheme to re-incentivise purchase:

- The maximum discount was raised to £75,000 in 2012 then to £100,000 in London in 2013. The maximum percentage discount was increased to 70% in 2014.
- The government made a commitment to replace properties sold. The government promised 1:1 replacement and that new properties would be provided within three years of sale. This only applied to additional properties sold over and above the approximately 2,500 properties that were already being sold each year prior to the commitment.
- In the 2013 autumn statement, Chancellor George Osbourne introduced 'right to buy agents' to help buyers complete purchases. He also introduced a £100mn fund to improve access to mortgage finance.
- The Deregulation Act 2015 reduced the qualifying tenancy period for discount back to three years.

1.5 Right to buy and housing associations

The Conservative Party's 2015 general election manifesto included a commitment to extend right to buy to housing association tenants. This was in addition to the existing 'right to acquire scheme' for housing association tenants, which had been introduced in 1996. The right to acquire scheme is less generous than the scheme for those in homes owned by local authorities. The extension of right to buy to housing association tenants was initially implemented on a voluntary basis following agreement between the National Housing Federation (NHF) and the government. The agreement maintained the independence of housing associations, allowing them to refuse sale in certain circumstances.

The extended right to buy was initially piloted by five housing associations. In August 2018, a larger-scale regional pilot was launched in the midlands, with those wishing to purchase having to register online before 16 September 2018.

In a speech on 9 June 2022, Prime Minister Boris Johnson announced an extension of 'right to buy' to housing association tenants. This included a pledge to build a new social home for every property sold.

2. How many houses were sold under right to buy and were they replaced?

2.1 Housing sales

Sales of local authority housing prior to the Housing Act 1980 were relatively limited. Between 1957 and 1960, 16,000 council houses were sold in England. The 1980 act led to a surge in sales. Over 100,000 properties were sold for each of the first three full financial years following the passing of the act. A review published in the Journal of Housing Economics suggested high initial sales were due to pent-up demand from older tenants. These tenants qualified for high discounts from their long tenancies. The number of sales declined after the first few years. Government figures show that a peak of 167,123 houses were sold in the 1982/83 financial year. Sales fell to between 70,000 and 100,000 a year for the following four financial years, from 1984 to 1988. Sales again increased to over 130,000 a year between 1988 and 1990. The gradual decline in sales was in part due to dissipation of initial demand. Rising unemployment and high interest rates also caused demand to fall away.

Sales fluctuated from the early nineties onwards until the Housing Act 2004. Sales were between 30,000 and 70,000 a year from 1991 to 2005. This declined from the 2004/2005 financial year onward reaching an average of fewer than 4,000 sales per year in the 2008/09 to 2012/13 financial years. Sales increased from 2012 onwards, but numbers have not returned to levels seen prior to the 2007/08 financial year.

Alan Murie, emeritus professor at the University of Birmingham, suggests receipts from sales following the 1980 act were initially greater than the Treasury expected. The Chartered Institute of Housing's UK housing review 2021 found the Treasury had made £47bn from right to buy receipts since the policy was introduced.

2.2 Local authority construction

The Housing, Town Planning, &c. Act 1919 led to a huge programme of social housing construction. UK local authorities built over 5mn houses between 1949 and 1980. The local authority housing stock grew until 1980 as construction outstripped sales. UK households renting from local authorities peaked in 1980 at over 5mn. The annual investment in local authority housing peaked at £12bn in the 1974/75 financial year, equivalent to £20bn in 2020/21.

The introduction of the 'right to buy' coincided with a decline in social housing construction. No commitment was made to replace properties sold when right to buy was introduced. In the five full calendar years prior to the introduction of the Housing Act 1980, 627,830 local authority houses were constructed across the UK. In

the five years following the act, 215,580 were built. This downward trend continued over the following decades, with 130 local authority houses constructed in 2004.

Two acts in the 1980s reduced the capacity for local authorities to build social housing. The Local Government, Planning and Land Act 1980 allowed central government to impose grant penalties on councils that exceeded newly imposed expenditure limits. The Local Government and Housing Act 1989 required local authorities to set aside 75% of sales receipts, which could only be used to pay down debt until the local authority became debt-free. These changes reduced the ability of local councils to borrow money for capital expenditure, including construction of social housing.

In 2012, a policy of 1:1 replacement for properties sold was introduced. Numerous concerns were raised over the proposed replacements. They included the absence of a commitment to replacement properties being 'like for like' with the potential for houses to be replaced with flats.

Construction of replacement housing is below the government target. Ministry of Housing, Communities and Local Government figures released in July 2021 show that as of March that year, 36,380 additional affordable homes had been started or acquired since 2012. This compared to a replacement target of 46,108, a shortfall of 9,728 properties.

2.3 Housing association construction

Housing associations are private, not-for-profit organisations that supply affordable housing. In the 1980s, the Conservative government gave greater responsibility to housing associations for providing affordable accommodation. The Housing Act 1974 allowed housing associations to receive public funding for the construction of social homes. The Housing Act 1988 facilitated the transfer of social housing from local authorities to housing associations. This was done upon tenants' approval by poll and supporters argued it allowed greater investment in housing stock.

Construction of housing association properties began to increase in the late 1980s. A peak of 35,910 housing association properties were built in the UK in 1993, compared to 13,150 in 1987. However, this did not offset the reduction in local authority construction. An average of 4,880 local authority houses were constructed per year in the UK in the 1990s compared to 39,209 in the 1980s and 129,310 in the 1970s. Private sector construction remained relatively flat over this period.

A combination of the reduction in the rate of construction of social housing and sale of local authority housing led to a reduction in the availably of social housing in

England. Government figures show a reduction from 5.5mn in 1980 to 4.1mn in 2021.

3. What was the impact of the right to buy on tenure and the affordability of social housing?

3.1 Home ownership versus rental

Social housing construction during the 20th century led to a transition from private to social rents. In 1918, 23% of homes were owner occupied and only 1% were social rents. The remaining households were private sector rents. By 1981, 31% of homes were social rents, compared to 11% for private rents.

Home ownership increased in the years following the introduction of 'right of buy'. In England, 69% of homes in 2001 were owned by the occupier, compared with 58% in 1981. However, this has since declined to 63% of households in the two years from 2016 to 2018.

The greatest decline in home ownership has been among the young. People between the ages of 16–44 are less likely to own a home than they were in 1981. By 2011/12, only 10% of 16–24-year-olds owned their own home, compared to 36% in 1981.

The size of the private rented sector has increased since 1980. Office for National Statistics (ONS) data shows that between 2007 and 2017 the number of UK households in the private rented sector increased by 63%. The ONS also reported that in 2017, 15.8% of people aged between 45 and 54 were renting privately, compared to 5.6% in 1997. The ONS comments that over time this may lead to a higher proportion of older people living in private rented accommodation. Research by insurer Royal London has found that retirees living in private rented accommodation may need nearly double the savings of those owning their own home to avoid a reduction in living standards.

Research from the Brookings Institution, a US-based public policy organisation, has suggested that right to buy and a reduction in construction of social housing has caused a revival in the private rental sector. The Guardian newspaper has argued that high private sector rents and increased house prices have made saving for a mortgage deposit more difficult and therefore have reduced home ownership.

The number of former council homes that are owner occupied has reduced over time. Data from 111 councils in England in 2017 revealed that over 40% of former council homes were now in the private rented sector.

3.2 Availability and affordability of social housing

Government data shows an initial decrease in the size of local authority housing waiting lists in England following the introduction of 'right to buy'. The number of households on local authority housing waiting lists declined from 1.29 million in 1987

to 1.02 million in 1998. Waiting lists subsequently increased, peaking at 1.85 million households in 2012. The Localism Act 2011 gave local authorities greater freedom to decide who should qualify to go on the waiting list for social housing in their area. Since 2012, the number of households on waiting lists has decreased to 1.18 million in 2021. There have been several legal challenges to local authority housing allocation schemes since the 2011 act came into force. These have focused on whether councils have given homeless families reasonable preference, the lawfulness of policies favouring workers, and whether allocation policies have discriminated against disabled people. The number of new social housing lets has also declined, down 23% in 2019/20 compared to a 2013/14 peak.

There is significant regional disparity in the availability of social housing, with the largest waiting lists for social housing in London. This disparity matches with sales under 'right to buy', with the largest number of sales in London. In 2020/2021, 295,953 households in London were on social housing waiting lists, compared to 53,087 in the north-east of England. Many London councils face a significant shortfall; in 2020/21 Lambeth Council had a waiting list of over 30,000 and only 379 dwellings were let to new tenants. Freedom of Information requests have revealed that local authorities in London have rented former social housing from the private sector for use as temporary accommodation for homeless families.

Significant investment may be required to increase the availability of social housing. The National Housing Federation found that £14.6bn would be required each year over the next 10 years to meet social housing requirements in England. It argued that any expansion in right to buy may increase this requirement.

4. What is the potential impact of an expansion of right to buy to housing association tenants?

Two pilots between 2016 and 2018 trialled an expansion of right to buy to housing association tenants. A review of the first pilot found that there was significant "pent-up demand" for purchase. This was largely among "middle aged" tenants.

A Department for Levelling Up, Housing and Communities data release in February 2022 stated that 1,839 housing association properties had been sold under the larger, second pilot. Construction of 437 replacement homes had started by 30 September 2021. The government had spent £118.8mn on grants and housing associations had received £192.2mn in sales receipts to be spent on replacement homes.

The second pilot identified lack of land availability and insufficient sales receipts as barriers to replacing properties

sold. Responding to a written question on 27 April 2022, Minister of State for Housing Stuart Andrew said that the government "remains committed to right to buy". He added that the government is reviewing the findings of the midlands pilot and would "announce further details on the voluntary right to buy in due course".
The government recently announced that right to buy would be extended to housing association tenants. The prime minister, Boris Johnson, said the measures would "help millions more people realise what is currently an unattainable dream of home ownership". Labour Leader Keir Starmer said that whilst he wants "as many people to own their own homes as want to", the government's announcement was the "wrong approach".

The reluctant 10 Percent, Mortgagemaxm@ix

The video discusses a new product aimed at the "reluctant 10 percent" of renters who prefer to buy homes but face affordability issues, offering modern construction techniques and a 5% deposit mortgage to make home ownership more accessible, especially for key workers earning around £25,000 annually.

Income inequality, mortgage debt and house prices Bank of England research Paper by Sevim Kösem . A MortgageMaxM@ix and Home@ix group response.

Home@ix (formerly Moduloft) a Manufacturing and Customer Financing solution to enabling owner occupation for the Reluctant 10 per-centers. "our product is aimed at what we call the reluctant 10 per-centers and what i mean by that is if you envisage the property ladder as 100 rungs, since 2009 home ownership has fallen from 75% of occupation to 65% so there were 25% of people in the rental sector across all types of rental property in 2009 now in 2020 there are 35 percent and it occurred to me that those 10%of people, that 10 rungs of the property ladder would rather buy than rent and so what we've addressed the reasons why they haven't been buying and have been renting instead"
Roger Lewis ,
CEO Home@ix

I found this interesting article by
theWEF Real Estate portal this morning.
At Mortgagemaxm@ix and across the Home@ix group of companies we are committed to the Reluctant 10 percenters.

Moduloft is committed to the Entry Level budget homeownership Market. Delivering affordable Homes and the means to Finance them literally without costing the earth.

Moduloft is Green by design, and Affordable by design , we are experts in materials passports, Energy based economics and Placemaking.
We do have questions though regarding the Agenda 2030 sustainable development goals and whether financial products are being developed for our Customer price point.
This coming week we will publish a series of discussion papers surrounding the question. Is 21st Century Britain, in 2021, going to be a Home Owning democracy or a Rent seeking Banana Republic?

Real-Estate Land Development Limited <rlddevelopments@gmail.com>Fri, Jun 18, 2021 at 7:34 AM
To: Emma Sugrue <emma@centaureainvestments.co.uk>
Cc: Rob Thomas <Rob.Thomas@instinctif.com>, Roger Lewis <rogerglewis13@gmail.com>, Chris Phillips <chris@centaureainvestments.co.uk>, Nicola Evans <nicola@lowergrenofen.co.uk>, Shakirah Akinwale <shax@akinwale.co.uk>, Michael Judd <MichaelJudd@hawkinsbrown.com>, Greg Manson <greg.manson@oaknorth.com>, Richard Werner <werner@hampshirebank.org>, Richard Werner <richard.werner@linacre.ox.ac.uk>, Dominic Cullinan <dominic.cullinan@scabal.net>, Tilley Harris <tilley@akou.co.uk>
Dear Rob and Chris,
Income inequality, mortgage debt and house prices.Published on 21 May 2021Staff Working Paper No. 921By Sevim Kösem

This is an interesting paper, I am tempted to place it in the Not even wrong category. At least it asks the question.
https://www.bankofengland.co.uk/working-paper/2021/income-inequality-mortgage-debt-and-house-prices

I think my Anaslysisfrom last year remains more robust than this Discredited General Equilibrium model approach.
I will write a critique of the paper over the weekend.
Affordable-homes-a-framework-of-understanding

Moduloft:The Affordable Housing Manufacturer Introduction to Our Series on understanding The Affordable Homes Equation.

Rob, I will be in the UK from End of June and able to Enter society after quarantine around 9th July , I will set up for us to go and see Oaknorth about their Mortgage License then.
Are you going to be around in July or are there dates to avoid?
Best
Rog
https://www.yumpu.com/en/document/view/64908759/debt-growth-money-supply-and-house-prices-rationing-the-right-to-shelter-buildbackbetter-4ir

Housing Market Fundamentals including Debt. From Shiller's Irrational Exuberance to The Covid19 Debt Bomb.#COP26 Moduloft Primer.

All links from Wayback machine may not work, there is an archive of all RLD and Home@ix research (This is a first Draft.)

Katerras Collapse Post Mortem and the The reluctant 10 Percent

Katerra, Is everyone missing the point?
https://www.linkedin.com/pulse/katerra-post-mortem-unicorn-dead-long-live-roger-lewis (Found article in Archive)
https://www.haaretz.com/israel-news/business/.premium-behind-the-bust-of-israel-s-billion-dollar-startup-1.5449726
Katerra Unicorn Article
Summary of Key Points from the Katerra Post Mortem Article

1. **Katerra's Collapse**: The article discusses the failure of Katerra, a construction technology company, attributing it to various factors including the COVID-19 pandemic's impact on the construction industry and financial mismanagement linked to its former lender, Greensill Capital.

2. **Comparative Failures**: The author compares Katerra's downfall to notable business failures such as Enron and WeWork, highlighting a trend of cash-burning unicorns in the tech and construction sectors.

3. **Misdiagnosed Housing Issues**: The article critiques common assumptions about the housing market, arguing that the decline in home ownership is primarily due to restricted mortgage lending rather than a genuine shortage of homes.

4. **Customer Engagement**: A significant point made is that Katerra failed to engage with customers effectively, which is a critical mistake in the housing market. The need for a customer-centric approach is emphasized.

5. **Home@ix's Approach**: The author introduces Home@ix, a new venture aimed at addressing the needs of first-time buyers and promoting customer choice in housing solutions, contrasting it with Katerra's methods.

6. **Branding and Marketing**: The importance of branding in the construction industry is highlighted, suggesting that companies should adopt a consumer-focused marketing strategy similar to successful brands in other sectors.

7. **Industry Fragmentation**: The article calls for greater collaboration within the construction industry to overcome

fragmentation and silos that hinder innovation and customer satisfaction.

8. **Future Opportunities**: The author expresses optimism about the potential for new business models and technologies to improve the housing market, urging a shift toward more integrated and customer-driven solutions.

Overview
The overall message stresses the need for a paradigm shift in how construction companies engage with customers and adapt to market demands, learning from the failures of companies like Katerra.

The Home@ix Bumper Sticker.
A Summary analysis of The Off Site MMC Space.
Katerra/Wolff
https://www.awolff.com/about/
https://katerra.com/projects/helm/
https://www.awolff.com/asset/helm/
Z Modular have shown a strong production process with excellent product design
similar to Katerra. Katerra have the edge in that they cater for both steel
frame and laminated timber, the Katerra/Wolff model is the most Complete along
with Seksui House in their Home market, Japan.
The Absence of Vertically Integrated Sales driven and Collaborative Origination.
We believe that what is proposed by Home@tix is a comprehensive twist that
does vertically integrate the process of housing development to the extent that we have
developed a Homeagineering Dashboard which is a Unique selling point. Something which
Blokable and factory OS claim to do but do not, which Entekra does in off site
panelised timber frame but who still do not fully integrate their production to a
collaborative Customer origination process.
Seksui House do a fully integrated process in Japan and hope to do the same with
Urban Splash in the UK. Urban Splash are a small regional player which is very
much a 3rd sector creature relying on Government sponsorship which explains
attendant gaps in its skill set.
Also Rans.
Top Hat, Legal and General, ilke Homes and BokLok are very much also ran’s in
their approach as are etopia and a number of factoryos/Blokable Wannabees. Each to differing

degrees display an Absence of Vertically Integrated Sales driven and Collaborative
Origination.
“occasionally something outside the Box (SILO) comes along and

seems obvious but no one saw it previously.
We think Home@ix is like that!”Roger Lewis.

The Opportunity Is to Establish a Generic Brand for Manufactured housing through a specialised
Volume House-building organisation. Delivering to the Homemaker with a Self Build mind set,
The Full Volume House-builder Skill set, augmented by adding the Paradigm shifted Digital
dimension from Social Media, Virtual Reality, Collaborative Design, Cloud Computing, Internet of
Things and smart assembly line supply chain maximisation.

#Cop26 Presentation Carbon Net Zero and Owner Occupation . Moduloft #2535 #GenerationRent Nov 26, 2020.

The video discusses a COP26 presentation on carbon net zero and owner occupation, emphasizing the role of affordable housing brand Moduloft in addressing the needs of first-time buyers, and critiques the financial industry's support for sustainable home ownership amidst broader geopolitical and economic agendas.

Detailed Summary for [#Cop26 Presentation Carbon Net Zero and Owner Occupation . Moduloft #2535 #GenerationRent

Unlisted](https://www.youtube.com/watch?v=a5YBAyIE6ic) by [Monica](https://monica.im)

[00:00](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=0) Discussion on the COP26 presentation focusing on Carbon Accounting, Finance, and First-Time Buyers

- Introduction to the COP26 presentation and its focus on Carbon Accounting, Finance, and First-Time Buyers}

- Establishment of RLD Limited as a marketing company and launch of an investment fund for affordable housing schemes}

- Explanation of the term 'Reluctant Ten Percenters' and Generation Rent by Chloe Timberley}

- Discussion on the geopolitical and political economy agendas of Agenda 21 and Agenda 2030 by the United Nations}

- Focus on the climate crisis, accounting rules, and finance landscape addressed in the document}

[09:04](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=544) Discussion on the need for appropriate financial products for reluctant homeowners and the role of capitalism in the housing market.

  - Emphasis on continuing home-owning democracy despite post-forwardism}

- Reference to Dr. Adrian Wrigley's article on the crisis of affordability and allocation in housing}

- Dr. Adrian Wrigley's presentation to the House of Commons Treasury Committee on the single man value tax}

- Importance of advocating for homeowner occupation in the building industry}

[18:08](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=1088) Discussion on global south and north divide in agenda 21 and agenda 2030

  - Global south and north divide in agenda 21 and agenda 2030}

- Levelling up people in the global south}

- Opposing rental slavery and authoritarian mercantilism}

- Discussion on carbon credit and global currency creation}

- Different schools of thought on money works within a modern economy}

[27:12](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=1632) Discussion on the impact of the Great Reset and green economy on planning and credit creation

  - The Great Reset's impact on planning and credit creation is a key focus}

- Mark Carney's recommendations and advocacy for a new framework}

- Potential changes to the financial system and political campaigns}

- Discussion on high-level landscapes and their potential impact on laws}

[36:13](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=2173.6400146484375) Discussion on the SEEDS system and its relation to land use planning and wealth tax

- Introduction to Dr. Tim Morgan's SEEDS system}
- World Bank's patent on capturing land use for SEEDS proxy}
- Importance of wealth tax and land ownership in taxation}
- Debate on scarcity and technology progress}

[45:20](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=2720) Shift from owner occupation to built-to-rent properties impacting the housing market

- Decline in owner occupation from 75% in 2009 to 65% in 2020}
- Built-to-rent properties replacing traditional housing options}
- Rise of buy-to-rent as a significant trend in the property market}
- Concerns over existing oversupply and potential bubbles in the market}
- Impact on the stability of home-owning democracy and broader societal issues}

[54:19](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=3259.9199829101562) Discussion on embodied carbon and energy in international trade

- Exploration of embodied carbon and energy in materials}
- Graphic representation of embodied energy in international trade}
- Accounting for energy consumption in global trade}

[01:03:28](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=3808) Discussion on carbon credits, wealth creation, and impact on entrepreneurs

- Exploring the link between carbon credits and access to credit}
- Impact of COP26 rules on wealth creation for entrepreneurs}

- Observations on carbon trading market and its evolution}

- Comparison of CO2 prices over time and implications for pollution levels}

- Discussion on net zero concept and its relationship to environmental impact}

Major Regeneration Build Environment Networking **Jul 10, 2020.**

This webinar discusses the current state and future plans for regeneration projects in the UK, including issues such as well-being, diversity, and zero carbon. The panel emphasizes the importance of creating a sense of place and considering environmental factors such as sea level rise. They also highlight the potential of modular construction for sustainability and affordability.

Presentation Magor Regeneration Webinar Jul 6, 2020

Roger Lewis, the founder of Real Estate Land Developments Limited, has been a prominent figure in the property market for decades. With a wealth of experience and a keen eye for potential, Lewis has returned to the UK with a significant investment of £100 million to spearhead new place-making projects.

His involvement in the regeneration of the Isle of Dogs, particularly in the former London Docklands area, has been widely recognized. Lewis has been instrumental in the transformation of derelict docks into thriving commercial and residential spaces. His contributions, along with those of other key figures and organizations, have played a pivotal role in revitalizing the area and bringing prosperity back to inner cities.

Reflecting on his past experiences, Lewis emphasizes the importance of major regeneration and the impact it can have on urban areas. He highlights the achievements of the London Docklands Development Corporation (LDDC) and the significant public and private sector investments that drove the regeneration efforts. The success of large-scale urban regeneration projects, such as those in Docklands, serves as a testament to the potential for revitalization and economic growth within inner cities.

Moreover, Lewis is a strong advocate for affordable housing and aims to prioritize the development of homes that align with his vision of affordability. He distinguishes between genuine affordable housing initiatives and those driven by rent-seeking motives, emphasizing the need for a focus on home ownership to foster a thriving community.

In addition to his commitment to affordable housing, Lewis is actively involved in promoting place-making as a fundamental aspect of his development projects. His company's ethos revolves around creating vibrant, sustainable communities where people can live, work, and thrive. Through innovative financial products and strategic partnerships, Lewis aims to empower individuals to achieve their aspirations of home ownership.

Furthermore, Lewis addresses the challenges posed by current planning policies, such as community infrastructure levies (CIL) and Section 106 agreements. He advocates for a balanced approach to infrastructure levies, emphasizing their role in enabling development rather than hindering it. He also raises concerns about the potential impact of certain development trends, such as build-to-rent initiatives, on the overall housing landscape.

As Lewis continues to navigate the ever-evolving real estate market, he remains committed to driving positive change through his dedication to major regeneration, affordable housing, and community-centric development. His unwavering passion for creating sustainable, inclusive communities underscores his status as a visionary leader in the real estate industry.

In conclusion, Roger Lewis's return to the UK property market signals a renewed focus on major regeneration and community-driven development. His extensive experience and forward-thinking approach position him as a key influencer in shaping the future of urban landscapes and affordable housing initiatives. As he embarks on new place-making projects, Lewis's impact is poised to leave a lasting legacy in the realm of real estate development.

Mortgage Securitization: A Beeginner's Guid .

Mortgage securitization, a financial practice that has been in existence since the 1970s, has revolutionized the way mortgage loans are handled. This process involves pooling together mortgage loans and selling them as mortgage-backed securities to investors. The aim of this practice is to provide liquidity to banks, create investment opportunities for individuals and institutions, and generate long-term returns for investors.

Traditionally, mortgage loans were originated and held by neighborhood banks, ensuring a personal relationship with borrowers and a focus on quality loan underwriting. However, with the advent of securitization, the landscape has shifted. Today, only 10% of loans are held as portfolio loans, while the majority, 90%, are securitized.

Securitization allows originating lenders to sell mortgages to investors and profit from fees charged during the process. This has led to a significant increase in the volume of mortgage loans

being made, as well as the speed at which they are processed. While this has expanded homeownership opportunities, it has also raised concerns about risk exposure and the potential for fraudulent practices.

One key aspect of securitization is the role of loan servicers. Once a mortgage is sold as part of a mortgage-backed security, the originating lender becomes a loan servicer, responsible for collecting payments from borrowers and managing various aspects of the loans. However, this practice has been subject to criticism due to its potential for abuse and illegal actions, such as foreclosure proceedings.

Another critical element in the securitization process is the role of rating agencies. These agencies assign ratings to mortgage-backed securities, indicating their level of risk. However, there have been instances where high-risk investments were classified as low-risk, raising questions about the integrity of the rating process and its impact on investors.

In recent years, investigations have uncovered instances of high-risk investments being misrepresented as low-risk, leading to significant financial implications for investors and borrowers alike.

Overall, while securitization has brought about significant changes in the mortgage industry, it has also raised concerns about transparency, risk management, and ethical practices. As the landscape continues to evolve, there is a need for greater oversight and accountability to ensure the integrity and stability of the mortgage market.

Fadie Hany Areny https://youtu.be/6FoaSK4XkxA
National Mortgage Investigation University (NMIU) Website:

Copyright: National Mortgage Investigation, Inc. (NMI)

https://web.archive.org/web/20120301022328/http://www.nationalmortgageinvestigation.com/

foreclosure-is-a-profitable-business #Moduloft The Concept. #Cop26 Draft No.2 notes Presentation and discussion #BuildBackBetter #LevellingUp.

The YR2K bug that destroyed the affordable housing ladder **Jun 5, 2022**

The YR2K bug significantly impacted affordable housing, leading to a decline in home ownership from 75% to 65% since 2009, leaving millennials and younger generations burdened with debt and high rentals.

Detailed Summary for [The YR2K bug that destroyed the affordable housing ladder

Unlisted](https://www.youtube.com/watch?v=AriCsf6K_vQ) by [Monica](https://monica.im)

[00:00](https://www.youtube.com/watch?v=AriCsf6K_vQ&t=0) Impact of the YR2K bug on the affordable housing sector
- Analysis of the post-2000 housing market}
- Devastating effect of the YR2K bug on affordable housing}
- Stranding of millennials and younger generations in a financial crisis}
- Shift of market value towards the top, leaving many struggling}

[01:43](https://www.youtube.com/watch?v=AriCsf6K_vQ&t=103) The shift from home ownership to renting in the property ladder
- Decline in home ownership from 75% to 65% since 2009}
- Increase in rental sector from 25% to 35% in 2020}
- Addressing reasons why people are renting instead of buying}

The Pulling up of the Affordable Housing Ladder.
https://www.youtube.com/watch?v=pXQmPzXQGW8

https://www.loveproperty.com/gallerylist/55171/uk-house-prices-from-the-year-you-were-born-to-today

https://www.allagents.co.uk/house-prices-adjusted/

Home@ix Understanding Affordable housing and Mortgage finance

https://drive.google.com/file/d/103IyogaA-8YXTRNx_nyH1AW9Prdgn5LE/view?usp=share_link

Jenkins Benn Gang of Four
https://www.youtube.com/watch?v=5J-Y2VAk45c

The reluctant 10 Percent, Mortgagemaxm@ix

https://youtu.be/yWBmk5aMBYY

What 175 years of data tell us about
house price aordability in the UK
https://www.schroders.com/en/global/individual/insights/what-174-years-of-data-tell-us-about-house-price-affordability-in-the-uk/

Summary of Key Points

- **Housing Affordability**: The average UK house costs about nine times the average earnings, a level not seen since 1876. House prices peaked in the late 19th century, then fell until after World War I.

- **Drivers of Change**: Key factors influencing affordability include:
  - **Increased Housing Stock**: More than doubled from 1851 to 1911.
  - **Smaller Houses**: Post-1850 houses are significantly smaller.
  - **Rising Incomes**: Earnings increased by 90% between 1845 and 1911, while house prices fell by 23%.

- **Homeownership Trends**: Homeownership rates peaked at over 70% in the early 2000s but have since declined to 63-65%, largely due to rising house prices.

- **Regional Variations**: London has the highest affordability issues, with average house prices costing 12 times the average wage. Other regions like Scotland show better affordability at around 5.5 times earnings.

- **Gender Disparities**: Women face worse affordability, with average house prices costing over 14 times their salary in London compared to 12 times for men.

- **Future Affordability**: Sustained decline in house prices seems unlikely. The focus may need to shift to earnings growth, which has recently improved nominally.

- **Interest Rates Impact**: Rising interest rates significantly affect mortgage affordability, making it harder for buyers to enter the market.

- **Investment Comparison**: Historically, property has been viewed as a better investment than pensions. However, investments in the stock market have outperformed property over various time frames, highlighting the need for careful consideration when evaluating investment options.

Conclusion
The report underscores the challenges of housing affordability in the UK, particularly in relation to earnings and gender disparities, while also questioning the traditional view of property as a superior long-term investment compared to pensions.

[Staff Working Paper No. 837 UK house prices and three decades of decline in the risk-free real interest rate David Miles and Victoria Monro December 2019]

Summary of Key Points

Title: UK House Prices and Three Decades of Decline in the Risk-Free Real Interest Rate

Authors: David Miles and Victoria Monro

Abstract:
- UK real house prices have nearly quadrupled over 40 years, significantly outpacing income growth.
- The decline in the real risk-free interest rate is a major driver of this increase.
- A sustained 1% rise in index-linked gilt yields could lead to a nearly 20% decrease in real house prices.

Key Findings:
1. **Historical Growth:**
   - Real house prices increased by over 300% from 1968 to 2018, with a notable rise in the last three decades.
   - Prices have risen faster than incomes, with house prices now almost double relative to disposable income compared to 40 years ago.

2. **Rental Yields:**
   - Rental yields have decreased significantly, indicating that the rise in house prices is not due to inflated values or a housing bubble.

3. **Model Analysis:**
   - The paper employs a model linking house prices to factors like housing supply elasticity, income changes, and user costs.
   - The decline in real interest rates is shown to be unanticipated, contributing to ongoing price increases.

4. **Impact of Interest Rates:**
   - The substantial decline in real interest rates over the past 35 years is linked to a doubling of average UK real house prices.
   - Changes in real interest rates directly affect house prices and rental yields.

5. **Policy Implications:**
   - The findings provide insight for policymakers regarding financial stability and housing market dynamics.
   - The paper emphasizes that rising house prices are not solely a result of monetary policy but also reflect broader economic trends.

6. **Conclusion:**
   - The long-term trajectory of UK house prices can be explained primarily by the decline in real interest rates and rising incomes.
   - Future increases in interest rates could lead to significant decreases in house prices.

This summary encapsulates the main arguments and findings of the paper, highlighting the interplay between interest rates, house prices, and economic fundamentals.

Comment. Home@ix draws a different conclusion in line with The following Starkey paper applying werners quantity theory of credit.

Utilising the Quantity Theory of Credit to Understand the Causes of the 2007 Financial Crisis.

Increased borrowing by speculators to purchase property and financial assets is encouraged by increased collateral arising from the initial speculative gains resulting from rising asset prices. A further factor increasing demand for assets whose value is rising, is speculators expectations that there will be future speculative gains arising from further increases in asset prices. Richard Werner (2005, p. 228; 2013, p. 362) refers to this as Say's Law of Credit, because an increased supply of credit creates greater demand for credit to purchase property and financial assets, as a consequence of increased lending causing speculators to believe that there will be future increases in property and financial asset prices.

Banking crises tend to follow a period of rapid increases in asset prices (Reinhart & Rogoff, 2009). A substantial allocation of credit money creation for purchasing property and financial assets within secondary markets caused significant asset price inflation, which provided the context for the 2007 financial crisis (Werner R. A., 2013, p. 366). At some point the perception that assets may be over-valued influences investors' perceptions of likely future price movements, and asset prices will fall when credit creation is no longer forthcoming for further asset purchases. This context produces a 'Minsky Moment' (Minsky, 1992). Falling asset prices cause speculators to lose money, and their loans will become non-performing because investors are unable to fulfil their contracted repayments. Banks have a relatively small capital cushion of around 10% of their asset base. Therefore, when the diminution in the value of a bank's assets exceeds 10% it will cause the bank to become insolvent. Adair Turner (2017, p. 6) states:

"The vast majority of bank lending in advanced economies does not support new business investment but instead funds either increased consumption, or the purchase of already existing assets, in particular real estate. Real estate is relatively fixed in supply, and consequently the transfer of funds to this sector leads to

asset price increases that induce yet more credit demand and more credit supply, which is at the core of financial instability in modern economies”.

Real Estate and Money Supply

There is a direct relationship between the amount of money supply that is available in the system and the amount of money that finds its way into the real estate market. This is because real estate is one of the most preferred investment classes in the world. It is considered to be a safe haven and one of the safest hedges against inflation.

However, very few people are aware of the fact that real estate also ends up creating more money supply! This is because of the way the modern fractional reserve banking system works. The more real estate is created, the more mortgage loans are made and the higher the money supply goes. This **recursive relationship between real estate and money supply as well as how they propel each other higher has been detailed in this article**.

Self Perpetuating Money Supply

The modern system of real estate investing creates a situation where in real estate catapults the money supply available in the system. This increased money supply then finds its way once again into the real estate sector. This never ending back and forth between the banking system and the real estate system creates an environment of rising real estate prices.

Since the fundamentals of the economy i.e. income levels are not changing, these rising prices are often a real estate bubble. This bubble bursts bringing the prices down for a short period of time. However, in the long run, due to the very nature of the process, real estate investments end up propping up the money supply and creating a self-enforcing and amplifying loop.

Mortgages Create Money

About 80% of the house purchases across the developed nations in the world take place on borrowed money. Hence, the term “house

purchase” can be considered to be synonymous with the word “mortgage”. This seems to be a normal thing until one considers how the modern banking system works.

Banks do not lend out existing money, instead they create new money when they make loans. Therefore, whenever a bank makes a mortgage loan, it ends up creating that money and pumping it into the system. Therefore, the more mortgages there are, the more money there will be in the system.. This fact can be easily empirically verified by comparing the growth of mortgage loans in the banking industry to the amount of money supply in the economy. The two charts almost move simultaneously!

Money Creates High Inflation

Now, the problem with more money getting created is the fact that this newly created money revolves in the system. It derives its value by reducing the value of the other money in circulation. Therefore, in countries like the United States when the mortgage markets were booming, there was extremely high inflation in the market. The high inflation coupled with mediocre wages growth creates a scenario wherein the workers are losing real wages!

Inflation Creates High Prices

The money that was created as a result of the mortgages finds its way largely into the real estate sector once again. This is because increasing demand for real estate takes the prices higher causing buyers to queue up to buy what appear to be “profitable investments”

Now, excess money as well as excess demand in the system leads to the growth in the prices of real estate units. This further increases investor confidence that real estate is indeed an extremely profitable investment. The real estate prices which initially appeared to be disproportionately high given the economic fundamentals stay that way and the illusion begins to turn into reality! The inflated real estate prices become the new normal.

Speculation Creates More Mortgages

When speculators observe that some of their peers have made money by speculating on real estate, they too make an attempt to join the party. This further exerts an upward pressure on the real estate sector as excess money and excess demand now meet speculative intentions!

This is the perfect recipe for a bubble. Speculators drive the prices sky high through self reinforcing feedback loops. Higher prices in the past become the justification for even higher prices in the future! This period witnesses a rapid growth in mortgages as well as housing prices.

The Bust Phase

Finally, at an unpredictable point in time, the bubble bursts. The primary reason behind the bust is the unsustainable economic condition in the economy. At this point in time, many borrowers are simply unable to make payments to their banks. As a result, the bank has to foreclose these homes and write down the losses. However, very few people know the fact that when banks write down these losses, they actually write the money out of existence. Since mortgages were what created the money in the first place, when these mortgages cease to exist so does the money. As a result, the total money supply in the system is reduced and as a result the prices appear to have gone down.

Thus, mortgages and real estate prices have a huge influence on the money supply of the economy. Since money supply is one of the fundamental economic parameters, the real estate prices end up having a huge influence on the entire economy.

Summary of Key Points

Introduction
- The paper explores the causes of the 2007 financial crisis using Richard Werner’s insights and the Quantity Theory of Credit.
- It highlights the misallocation of bank credit towards speculative investments rather than productive economic activities.

1. Financial Deregulation
- Financial deregulation, initiated by the Thatcher government in the late 1970s, allowed banks to create new credit money without adequate oversight.
- This led to increased indebtedness and a disconnection between credit growth and GDP growth.

2. Credit Money Creation by Banks
- Banks create credit money primarily through lending, not just by using deposits.
- The period leading up to the crisis saw significant increases in bank lending, contributing to asset price inflation.

3. The Quantity Theory of Credit
- The theory posits that the impact of credit creation depends on whether the lending supports GDP transactions or speculative activities.
- A shift towards lending for non-GDP transactions can lead to asset bubbles and financial instability.

4. Central Bank Policies Post-Crisis
- The Bank of England responded to the crisis by reducing interest rates and implementing quantitative easing.
- These policies aimed to maintain liquidity and support asset prices but did not effectively promote lending for productive investment.
- Criticism exists regarding the lack of targeted measures to direct credit towards GDP-enhancing activities.

Conclusion
- The paper argues for a structural change in the UK banking system to prioritize lending for productive investments over speculative activities.
- It warns that without addressing these imbalances, future financial crises could be more severe.

Are we Looking for and have we been looking for solutions?

In this response, it is assumed The Committee is seeking to further the
public interest, even where this may conflict with the private interests which usually dominate the analysis and debate. This will
pose a major challenge to those who have learned their analysis exclusively through channels devoted to promoting private interests,
and must unlearn erroneous but pervasive assumptions and “unlearn” erroneous but pervasive assumptions and ” Roger Lewis , CEO principles.
the distinction between Bank, Building society and Other lending in

all the stats is key, followed up by the Distinction between, Mortgage
for New or Existing homes as 1st Mortgages,Mortgages for Remortgages
and finally mortgages for Letting investments. The other very
important distinction is Mortgage Funds secured in the Money Markets
and Mortgages originated as Bank credit. Northern Rock of course
famously became a casualty of the former and The Market itself is in my
opinion enslaved to the latter. One further Stratification category
would be the Element of Value attributable to Site or Land Value. All
of my recent researches point to Land Value Tax, and the Late Dr Adrian

Wrigley s work. This paragraph is sandwiched between Two Quotes from ’s Irrational
Adrian's work.
Evidence of a real housing shortage is absent. A real shortage
would “unlearn” erroneous but pervasive assumptions and ” Roger Lewis , CEO
show up as overcrowding nationwide. People would be walking the
streets in the hope of finding a room. Room prices would be high, and
there would be no empty houses.We have a crisis of affordability and
allocation. People are borrowing eight times their income to get on
the housing ladder yet there are 700,000 derelict houses, 500,000
second homes, and hundreds of thousands of pensioners homes with at ’s Irrational
least three bedrooms spare. The overheated Spanish housing market
shows that rapid building programmes do not cure price bubbles.

For an Affordable Product to work the appropriate supply of newly
created credit needs to be accessible for new first time buyers. It is
the successive failure to solve or even address this piece of the
puzzle that has led to the Market as we see it today. By some
estimations (Werner et al) the cause of the Gyrations we call the
property cycle, is the availability of Credit, Bankers and Policy
makers/regulators are to blame.
At this point separating the Flows of Credit into the Housing Market is
a non trivial task As one has to Factor in The Production Side of the
equation; House builders/Developers etc. with financing of Land
Acquisition, Planning and Construction.
Understanding these flows and incorporating them into a model to see

how the Split between; Newly created Credit and Institutional Equity
Funding expressed as Developer Payments, Insurance Company Liability
cover , and Other risk Capital from the Players in the Model Transaction
create a complex dynamic system where much of the Devil is found in the
detail. Simple indices, median prices and Stylized Facts all
contribute to the confusion and ultimately have succeeded in throwing
the Baby out with the bathwater.
I think if workable solutions have or can be developed then any
workable solutions should all satisfy one proviso.
• Higher LTV lending and also Lending at Higher Joint income Multiples
is a necessary combination if First Time buyers are to see sufficient
credit allocation.
The Macro Prudential framework as it currently exists , will I think
frustrate even prudent and attractive Mortgage products for First Time
buyers. My Latest Blog touches on the Problem. Per Kurowski who I quote
in the Blog is an ex director of the World Bank and If the Good Ship
Sonia is to set sail, we could do a lot worse than pay heed to Pers
message which he has oft repeated in the letters section of the FT.
“unlearn” erroneous but pervasive assumptions and With lower bank
capital requirements for residential mortgages than
for loans to the entrepreneurs or SMEs, those who can create the jobs
needed in order to service utilities and mortgages, you will not have

a functional economy, and houses have morphed from being affordable
homes into being the main risky-investment of way too many
families.” Roger Lewis , CEO
The Stylized Facts of the Macro Prudential Literature , succeeds in
doing what Stylized Facts do. That is The decoupling of The Entry
levels of the Market from Fundamentals has gone un-diagnosed. I am not
convinced that this is not condoned by implicit policy, where being
seen to be trying to do something is enough, Actually doing something
is not the standard of success, a triumph of Stylized Facts over

Substance, Perhaps?

https://notthegrubstreetjournal.com/2020/12/18/a-ship-in-harbor-is-safe-but-that-is-not-what-ships-are-for-setting-sail-on-the-good-ship-sonia-perkurowski/

“unlearn” erroneous but pervasive assumptions and ” Roger Lewis , CEO A ship in harbor is safe, but that is not what ships are for ,.
@PerKurowski
Tackling the UK housing crisis: is supply the answer?
5. The collapse in home ownership was mainly due to withdrawal of ” Roger Lewis , CEO
mortgage finance from FTBs, which
suggests policymakers face a trade-off.
This paper has argued that, while high house prices affect home ownership, the dominant driver of its recent collapse
was a sudden stop on mortgage lending to FTBs. And in keeping with that
explanation, the recent return to a more Ian Mulheirn August 2019 ” Roger Lewis , CEO
normal pace of FTB lending has seen the home ownership rate stabilise
and perhaps begin to recover.
The new focus of RLD "placemaking" is as described in the recent article in Property Week.
More Specifically.
Over the past 25 years a Gap has opened in the market between what is
affordable and what is built to address the shortage of Affordable Residential property.
The Definition of help to buy in london is a range up to 600k.
Development has gone high rise and targeted at the Buy to rent markets
often specifically for investors in the Far East. Or Buy to Let landlords in the UK.
S 106 provision of Affordable Social Housing has not addressed the dynamics of a housing market where the children of families can remain
within communities. This problem has been known about with attempts to
address it in Rural areas where Holiday home and second home buyers
price out Villagers. In Urban Centres Commutes have got longer and more
expensive. This recent "Action on Empty homes" report nails the problem in my opinion.

Action on Empty Homes campaigns for more empty homes to be brought into
use for people in housing need. Our aims are to: Raise awareness of ■ Raise awareness of

the waste of long-term empty homes. Campaign for changes to national ■ Raise awareness of
policy. Support loca ■ Raise awareness of o: Raise awareness of
the waste of long-term ■ Raise awareness of
empty homes. Campaign for changes to national policy. Support ■ Raise awareness of ■ Raise awareness of
local communities in transforming their neighbourhoods. Provide ■ Raise awareness of
advice for those seeking to bring empty homes back into use. ■ Raise awareness of
Research and develop ideas for bringing long-term empty homes back into use for those in housing need.
https://www.actiononemptyhomes.org/Handlers/Download.ashx?IDMF=24ace1b7-b428-4fee-8dcc-6a7638f32eaa

If people make places and communities (I think that they do), then the
provision of the basic spaces for communities to "Make their own" over
time is the essence of our new concept. Our Budget Live Work Thrive "Be
the event" comprehensive development approach of Placemaking Basics
by for and of the people and their community.
In Urban contexts and in Suburban or rural contexts the same basic principles apply.

Barbara Castle Steel House Debate Hansard Jan 1947

More serious than that is the question of size. This is only an 880 square feet house. It is true it has got some outbuildings which add another 100 square feet, but those outbuildings were only added as a kind of afterthought. They are of lighter and cheaper construction than those in the traditional brick house. It is a three bedroomed house, yet how does it compare with the traditional type of three bedroomed house? The steel house has an area of 880 square feet plus outbuildings against 1,059 square feet for the traditional house. So even if we take the outbuildings into consideration we have got 80 square feet less in area: a matter of serious consideration in a small house when there is a family. But—and this is a point which gives us considerable concern—what are we paying for this house with its diminished area and inferior design? I am informed that the cost to my local authority is going to be £1,307 "above the slab," and yet we are building brick houses in Lancashire of the three bedroomed type, the area of which is considerably greater, for £1,170. So for the smaller steel house we are paying £137 more. The cost per square foot works out considerably higher. Frankly I cannot see where the money is going to, and I do hope that the

Parliamentary Secretary will give us some kind of indication, by breaking down these figures, of how this cost is reached. It is no good his saying that the additional burden will not fall upon the local authority because, after all, what the ratepayers do not pay, the taxpayers will have to pay, and it all comes out of the same pocket in the end.

This house is supposed to have a 60-year life, but we are not particularly clear on what basis that is argued. The Burt Com- 559mittee have given their scientific consideration to the merits of this house under the different headings, and I must say that, after reading their report with some care, they do not seem to me to be wildly enthusiastic about it. They point out—and this concerns us in Lancashire where we have very inclement weather to contend with—that the avoidance of corrosion will be an important factor in the durability of the house. They go on to suggest that, for protection against corrosion, certain types of paint will have to be selected and applied and, in conclusion, they say: Although the degree of maintenance necessary in the latter part of the life of the buildings cannot be foreseen, this type of house is considered suitable for a 6o-year loan, provided that satisfactory precautions are taken against corrosion of the frames and claddings. In other words, if we are to have any kind of durability for the house, we have got to add on to this initial high cost an unknown factor of maintenance which may work out at a tremendous figure and add, accordingly, to the total cost.

Having seen these houses recently in one of the finest rainstorms that Lancashire can produce, with all the elements battering their fury against the steel walls no thicker than a motorcar body, I must say that I share the doubts of my own local housing officials as to the 6o-year life of this house, even with all the paint in the world put upon it for its protection. Yet apparently, even the initial cost of this house has not yet been settled, and this is a point on which I wish to be enlightened this afternoon. With the question of maintenance still in the dark hereafter, the constructional price of this house has, apparently, yet to be settled. The cost is to be reviewed after the completion of the first 10,000, in order to find out whether the figure that has been quoted is likely to prove sufficient or not.

I want to ask the Parliamentary Secretary whether, when this review of the price takes place, there is any likelihood of that review being in an upward direction. Are we likely to go into even more astronomical spheres in reaching the price of this 880 square feet steel box? After all, as my hon. Friend the Member for Hornchurch has been explaining, this has not proved a smooth process of construction. All sorts of difficulties and delays 560have occurred on the site. Are those difficulties and delays going to be taken into consideration in reassessing the cost, and are the taxpayers to carry the burden of the breakdown in the efficiency of the British Iron and Steel Federation's plans? Secondly, if the cost is revised, will it be revised retrospectively, and shall we find that, the first 10,000 having been erected under a guarantee of swift and efficient performance which has not been fulfilled, there will be a retrospective additional payment?

I am sure that my hon. Friend the Parliamentary Secretary is aware that, on the different sites up and down the country where this house is now being erected, all kinds of additional touches are having to be put to it. This is the outcome of testing out the construction in the light of practical experience, and the local officials, or maybe the contractors themselves, have found that they have had to add a bit here and there. In my own area, for example, the Borough Engineer, on his own responsibility, has painted with bitumastic paint the interior walls of certain parts of the building to protect them against the condensation we fear will occur. That is not included in the £1,307 which is supposed to be the total cost of the house.

I want, in my final word, to suggest to my hon. Friend the Parliamentary Secretary that the principle on which we are basing prices for these prefabricated houses is quite wrong. Apparently, what happens at present is this: the inventor or potential manufacturer of the prefabricated house submits his priced bills of quantities to the Ministry, and these bills of quantities are examined and approved by an expert committee; and on that total sum the price is based. That, of course, must mean that one tends to get a higher price for a prefabricated house than one would get

for a brick house. Surely, it means that we are getting all the disadvantages of prefabrication without any of the advantages.

Let me give an example in relation to the steel house. It is a steel framed house, to which steel cladding is applied externally. The very construction of the steel frame adds £137 to the cost of the house. We know it is bound to do that, because the frame gives us a duplication of the function of the wall. In the brick house, the wall does the job of keeping the house 561together, of keeping out the cold and so on. When there is a steel frame, plus steel cladding, there is duplication of function, which does add to the cost. But to offset that we ought to be having two advantages—less manhours taken on the site for construction of the house, and, also, the advantage of the saving in skilled labour of various kinds. But are these advantages being reflected in the present costing system on which the price is being based? We are getting increasingly alarmed at the high price of these prefabricated houses that are supposed to have all the merits of mass production and all the merits of scientific knowledge behind them. But what is happening? These merits are merely being reflected in rising prices, of which, possibly, we have not yet seen the ceiling. Therefore, I want to ask the Parliamentary Secretary if any scientific analysis of the building process in the construction of the prefabricated houses is being considered, and whether we are likely to see a rather more balanced and rigorous method of costing applied to these houses in the future.

I suggest to the House that in the lesson of the B.I.S.F. house, we have a classic example of private enterprise being given its head, a super edition of private enterprise at that. We often hear the Minister of Health taunted because he does not give private enterprise its head. It is said on the benches opposite that if only it were, houses would spring up like mushrooms, and all the homeless would be under a roof tomorrow. Here is an example of some of the most reputable private firms in the country having staked their reputations on a rapid, smooth flow of production of houses, cost no bar. Well, we were prepared to pay the cost, but they have not produced the goods, and I hope that the right hon.

Gentleman will learn from this lesson not to trust private enterprise again.

#Moduloft, The Affordable Housing Manufacturers. Defining the Terms of and Boundary Conditions of our Domain. **Dec 13 2020**

GrubStreet in Exile

#Moduloft, The Affordable Housing Manufacturers. Defining the Terms of and Boundary Conditions of our Domain.

first published 2020/12/13

Summary of Key Points from "Moduloft, The Affordable Housing Manufacturers"

1. **Introduction to the Housing Market**:

   - The housing market involves buying and selling houses, which are significant assets for many individuals.

   - In the UK, two-thirds of households own their homes, with half still paying off mortgages.

2. **Market Size and Structure**:

   - As of the end of 2020, the total value of residential mortgage loans in the UK was £1,527.3 billion.

   - There were approximately 28.5 million dwellings, covering around 29 billion square feet.

3. **Model Effectiveness**:

   - The effectiveness of housing models depends on data integrity and the definition of boundary conditions.

   - Understanding the housing market requires knowledge of its size and components.

4. **Valuation Considerations**:

   - Median house price to income ratios are crucial for assessing housing affordability.

   - Regulatory bodies like the FCA and PRA monitor mortgage lending and statistics.

5. **Lending Trends**:

   - There has been a notable increase in high loan-to-value (LTV) mortgages, raising concerns about market stability.

   - The share of mortgages with LTV ratios exceeding 90% was 3.5% in Q3 2020.

6. **Economic Influences**:

   - Economic factors such as debt service ratios, unemployment rates, and negative equity significantly influence mortgage possession rates and arrears.

   - Historical data suggests that rapid increases in asset prices often precede financial crises.

7. **Government Objectives**:

   - The UK government aims to improve housing affordability and restore financial stability.

   - Expanding residential land supply is seen as a potential solution to housing market issues.

8. **Long-Term Implications**:

   - Sustainable housing prices relative to household financial capabilities are necessary to mitigate future crises.

   - Economic policies should be informed by historical trends to effectively manage housing markets.

Overview

This summary encapsulates the main themes and findings related to the affordable housing market, emphasizing the importance of understanding market dynamics, regulatory frameworks, and economic influences.

Affordable Homes and "Changed Labour" If Labour is changed will the Talking Shop?
PUBLISHED DATE:MAY 7, 2023

Summary of Key Points

1. Affordable Housing Crisis:

- The article discusses the challenges in the affordable housing sector, specifically focusing on Legal & General Modular Homes.
- It critiques the company's approach and highlights its failure to meet sales expectations despite ambitious targets.

2. Company Performance:

- Legal & General Modular aimed to build 3,000 homes annually by 2024 but faced significant financial losses and operational challenges.
- As of December 2021, losses totaled £181.86 million, with cash injections failing to stabilize the business.

3. Employee Morale and Management Issues:

- Employee reviews indicate low morale due to unclear strategies and micro-management from leadership.
- While the company offered good benefits, concerns about pay and career advancement were prevalent.

4. Comparison with Katerra:

- The collapse of Katerra, a US modular construction company, is compared to Legal & General's struggles, emphasizing the risks of unsustainable business models.

5. Financialization of Housing:

- The article explores how financialization affects housing production, prioritizing shareholder profits over building more homes.

- It notes that major investors often hold shares in multiple housebuilders, influencing industry practices negatively.

6. Market Dynamics:

- The housing market is characterized by a lack of engagement with customers and a need for a more direct-to-consumer approach.
- The author advocates for a shift in focus towards customer needs and innovative solutions to address the housing crisis.

7. Policy Recommendations:

- The article calls for policy interventions to mitigate the negative impacts of financialization on housing production and affordability.
- It suggests that companies should prioritize sustainable practices and better engage with their workforce and customers.

This summary encapsulates the main points discussed in the article regarding the challenges and dynamics of the affordable housing sector and the specific case of Legal & General Modular Homes.

Housing Wealth , Mortgage Debt, Bank Balance Sheets and Solvency Update March 2023 to March 2024, Is Bailey still at the BOE, Sack him Now!!!!!

Summary of Key Points

1. **Housing Wealth and Mortgage Debt**:
   - As of March 2023, the total value of UK housing stock reached approximately £8 trillion.
   - Mortgaged owner-occupied homes surpassed £2.5 trillion, while homes owned outright totaled £2.88 trillion.

2. **Bank Balance Sheets**:
   - Outstanding mortgages accounted for 38.05% of bank balance sheets and 46.76% of the Sterling M3 money supply.

- The value of outstanding residential mortgage loans was £1,675.8 billion at the end of Q4 2022.

3. **Market Trends**:

   - Government support and longer mortgage terms have increased homeownership.

   - The value of unmortgaged owner-occupier homes has been growing faster than mortgaged properties.

4. **Potential Risks**:

   - A hypothetical 35% drop in housing values could lead to significant increases in loan-to-value ratios, impacting banks' solvency ratings.

5. **Housing Market Dynamics**:

   - Two-thirds of UK households own their homes, with half still paying mortgages.

   - The housing market's structure includes both private and social renting, with a significant portion of residential stock being unmortgaged.

6. **Economic Context**:

   - The document discusses the implications of monetary policies and economic conditions on housing markets, emphasizing the risks posed by rising interest rates and inflation.

7. **Quotes and Philosophical Insights**:

   - The text includes a quote by Taylor Caldwell, reflecting on the dangers of internal treachery in governance, paralleling it with economic challenges.

This overview encapsulates the critical insights regarding housing wealth, mortgage debt, and their implications on the UK economy.

A Home@ix Research Report
The Home@ix Formula, a Function and Accounting identity analysis of Affordable
Housebuilding in The United Kingdom. (England and Wales)

Summary of Key Points

Introduction

- The report analyzes the UK housing market, focusing on the affordability crisis and contributing factors.

- Core findings highlight a significant shortfall in housing supply and the need for a comprehensive approach to address both supply and demand.

The Home@ix Formula and Accounting Identity

- **Mortgage Lending**: Calculated as 75% of the M3 money supply.

- **Affordable Housing Need (AHN)**: Estimated at 10 million homes, with an annual supply of 87,500 homes.

- **Absorption Rate**: Currently at 0.6, indicating it would take approximately 190 years to meet the affordable housing need.

Historical Context and Policy Implications

- Post-World War II policies shifted from public to private sector housing, increasing unaffordability.

- Current fiscal policies disproportionately benefit wealthier homeowners.

Demographics and Market Dynamics

- Changing demographics, including an aging population and immigration, affect housing demand.

- Younger generations face growing inequality in homeownership opportunities.

Standard Method for Local Housing Needs

- A new method aims to better align planning with actual demand, emphasizing the need for affordable housing in urban areas.

Proposed Changes to the NPPF

- Suggested changes could reduce housing supply by approximately 77,000 homes annually, exacerbating the crisis.

Conclusion

- The affordability crisis is multifaceted, requiring immediate action from government and stakeholders to create sustainable solutions.

Financial Analysis

- To reduce the housing gap by 10% each year for 10 years, £250 billion in new credit is needed annually, totaling £2.5 trillion.

- Developer contributions and the financialization of housing play critical roles in addressing the crisis.

Key Definitions

- **HomeMaker Effective Demand (HD)**: Demand for affordable housing.

- **Affordable Housing Need (AN)**: Total need for affordable housing.

- **New Circuit of Credit Creation (NCC)**: A mechanism for providing credit specifically for affordable housing without expanding overall debt.

This summary encapsulates the main findings and recommendations of the report, highlighting the urgent need for strategic interventions in the UK housing market.

The Ending of the Long Monetary Expansion Cycle and a Brave new world of Housing Realism.

Published on May 23 2023

Summary of Key Points

Introduction

- The essay addresses the UK's housing affordability crisis, emphasizing the need for a balanced analysis of both supply and demand factors.

Housing Affordability Crisis

- Common belief attributes unaffordability primarily to a supply shortage, neglecting demand-side issues like interest rates and income inequality.

Key Themes in the UK Housing Crisis

1. **Demographics**: Population growth and aging demographics increase housing demand and change housing needs.

2. **Wages and Employment**: Stagnant wages and unemployment affect affordability and increase the risk of repossessions.

3. **Mortgage Market**: Tighter lending criteria hinder first-time buyers’ access to homes.

4. **Cash Buyers**: Investors and foreign buyers drive up prices, making homes less accessible.

5. **Bank of Mum and Dad**: Parental financial support creates inequality in homeownership opportunities.

6. **Housing Ladder**: Rising prices restrict movement up the property ladder, impacting social mobility.

7. **Generation Rent**: Young people face barriers due to student debt and high living costs.

8. **Housing Stock**: There is a critical shortage of affordable homes, especially in urban areas.

Amberfield Land

- A new classification proposed to identify 'ready to go land' to increase housing supply.

Misallocation of Credit

- Examines how credit practices contribute to housing market issues.

Supply-Side Challenges

- The construction industry faces inefficiencies and slow build-out rates, requiring reforms and strategic planning.

Key Reports and Strategies

- Historical reports highlight the need for collaboration and innovation in the construction sector.

Build Out Rates

- Current build-out rates are slow, driven by land acquisition, planning complexity, and skills shortages.

Letwin Review

- Highlights the importance of absorption rates in understanding housing supply dynamics.

Mortgage Market Dynamics

- Changes in the mortgage market have led to tighter credit conditions, impacting affordability.

Intergenerational Polarization

- Housing policies must consider the wealth distribution impacts across generations.

Conclusion

- A multifaceted approach is necessary to address the housing crisis, involving cooperation among government, industry, and society to ensure affordable housing for all.

Overview

- The essay provides a comprehensive analysis of interconnected issues surrounding housing and finance, advocating for a nuanced understanding of the UK housing market.

UPDATE Memo from Rog Supply Chain.

Key Points Summary

1. **Meeting Overview**

- John Thomas and Roger held a Zoom meeting on June 30 to discuss establishing a supply chain framework and design team for the Chassis Range.

2. **Supply Chain Insights**

- Interest in speaking with Helena from Lindbäcks and Gerry McCaughey regarding homebuilding insights.

- Emphasis on the value of manufacturers in creating marketable products.

3. **Industry Challenges**

- The off-site construction industry requires visionary teams to innovate and integrate conventional construction with manufacturing processes.

- Current housing markets in Sweden and the U.S. face crises due to a lack of supply and affordability issues.

4. **Lindbäcks Approach**

- Lindbäcks balances customization (20%) with standardization (80%) to maintain efficiency while allowing for creativity.

- They engage architects early in the design process to minimize costly changes.

5. **Production Optimization**

- A synergistic relationship between human capital and machinery is crucial for efficient production.

- The production process should evolve to allow for more standardized designs, similar to the automotive industry.

6. **Housing Market Conditions**

- Both Sweden and the U.S. are experiencing a decline in owner-occupied households and face a significant housing shortage.

- Sweden's housing market is strained by high construction costs and a mismatch between supply and demand locations.

7. **Off-Site Construction**

- Sweden employs panelized construction for single-family homes, while Lindbäcks uses modular construction for multifamily projects.

- Lindbäcks aims to increase production capacity significantly with a new factory.

8. **Financial and Policy Considerations**

- The withdrawal of mortgage finance for first-time buyers has led to a collapse in home ownership rates.

- There is a need for integrated financing solutions to address the affordability crisis.

9. **Future Directions**

- Emphasis on creating a customizable chassis range that balances manufacturing and assembly.

- Exploration of partnerships with companies like Mitek and the importance of a practical design team.

This summary encapsulates the critical discussions and insights from the document regarding supply chain strategies, industry challenges, and housing market conditions.

RESEARCH AND POLICY

Housing Development Dashboard

TERNER CENTER

PUBLISHED ONMay 30, 2016

Summary of Key Points

- **Housing Development Dashboard**: An interactive platform designed for policymakers, developers, and the public to understand how land use measures and market conditions affect housing production.

- **Focus Areas**: The Dashboard highlights high-impact policies such as:
  - Impact fees
  - Density requirements
  - Parking regulations
  - Permitting times
  - Inclusionary zoning
  - Discretionary approvals

- **Calculators**:
  1. **Development Calculator**: Estimates the likelihood of a development project being built based on specific policies and economic conditions.
  2. **Policy Gauge**: Assesses the cumulative impact of policy changes on housing production across jurisdictions, using parcel-level data and local market conditions.

- **Current Scope**: The Policy Gauge has been developed for four Bay Area cities: San Francisco, Oakland, Pleasanton, and Menlo Park, with plans for expansion.

- **Updates**: The Dashboard has undergone updates, including a new approach to policy simulation modeling.

- **Related Resources**: Additional articles and briefs on housing development feasibility and construction costs are available on their website.

1. **RESEARCH AND POLICY**

Modeling New Housing Supply in Los Angeles: Simulations from the Terner Housing Policy Dashboard

ALEX CASEY, BEN METCALF, DAVID GARCIA, HALEY REBECCA TIU, ISSI ROMEM

PUBLISHED ONOctober 28, 2022

Summary of Key Points

Overview:

The Terner Center for Housing Innovation presents a brief on modeling new housing supply in Los Angeles, emphasizing the need for increased housing development to meet the city's growing needs.

Key Points:

1. **Housing Demand:** California, particularly Los Angeles, faces a significant housing shortage, necessitating the construction of approximately 57,000 units annually to meet Regional Housing Needs Allocation (RHNA) goals.

2. **Challenges in Policy:** Current policies often lack data-driven insights, making it difficult to assess the impact of regulatory changes on housing supply. Factors like floor area ratios and parking requirements heavily influence feasibility.

3. **Terner Housing Policy Dashboard:** This new tool allows local officials and the public to simulate various housing policy scenarios, helping to understand potential impacts on housing supply.

4. **Policy Scenarios:** The analysis includes six prohousing policy scenarios aimed at increasing housing production, such as:

   - Increasing allowable density
   - Streamlining approval processes
   - Lowering building fees
   - Reducing parking requirements

5. **Modeling Insights:** No single policy change significantly boosts housing units; a combination of several policies is necessary to achieve substantial increases in supply.

6. **Impact of Policies:**

   - Increasing density and building size yields more than a 15% increase in expected units.

   - Comprehensive solutions combining multiple policies can lead to over a 70% increase in expected units from baseline estimates.

7. **Location of New Units:** Different policies affect where new housing is built, with some promoting development in high-resource areas.

8. **Future Work:** The Dashboard aims to expand its capabilities, including modeling for-sale housing and testing policies in other jurisdictions.

This brief underscores the importance of data-driven policy-making to address the housing crisis in Los Angeles effectively.

[From Homes for Heroes to Exponential Zeroes.]

Summary of Key Points

Title: From Homes for Heroes to Exponential Zeroes: Neglected Actors in the Housing Crisis Narrative

Overview:

The document explores the complexities of the housing crisis in the UK, emphasizing the interplay between supply and demand, economic policies, and demographic changes.

1. **Historical Context:**

   - Discusses housing policies post-World War I and II, including the "Homes fit for Heroes" initiative.

   - Analyzes various economic booms and busts from the 1970s to the pandemic, highlighting the cyclical nature of the housing market.

2. **Supply-Side Factors:**

   - Examines land and planning regulations, the role of housebuilders, and the decline of small and medium enterprises (SMEs) in housing construction.

   - Highlights the financialization of housing and the concentration of power among large housebuilders.

3. **Demand-Side Factors:**

   - Investigates the owner-occupation and rental markets, social housing, and the impact of cash buyers and the "Bank of Mum and Dad."

   - Discusses the implications of student debt on housing tenure and affordability.

4. **Policy Analysis:**

   - Critiques the dominant narrative that a supply shortage is the primary cause of housing unaffordability, arguing for a more nuanced understanding that includes demand-side factors.

   - Reviews think-tank perspectives and their influence on policy discourse, noting the political feasibility of proposed solutions.

5. **Demographic Trends:**

   - Analyzes the effects of immigration, aging populations, and changing household sizes on housing demand.

   - Points out the challenges faced by younger generations in accessing affordable housing.

6. **Economic Considerations:**

- Discusses the role of fiscal policies, including stamp duty and mortgage interest relief, in shaping the housing market.

- Highlights the importance of understanding capital flows and the financial mechanisms behind housing production.

7. **Conclusion:**

- Calls for a comprehensive approach to address the housing crisis, integrating both supply and demand perspectives.

- Emphasizes the need for innovative solutions to improve housing affordability and accessibility for all demographics.

This summary encapsulates the document's critical insights into the multifaceted nature of the housing crisis and the various actors involved in shaping its narrative.

Housing shortage: Scale of UK's housing gap revealed

Share
Simon Gompertz
Personal finance correspondent, BBC News

Overview of the UK's Housing Shortage

- **Current Housing Gap**: The UK faces a housing shortage of over one million homes, which is expected to grow as the population increases.

- **Impact on Renters**: Many renters, like Zoe McKendree, are heavily burdened by high rents and face no-fault evictions, making it difficult to save for a home.

- **Mental Health Effects**: A poll indicated that 13% of adults feel their mental health is affected by their housing situation, with a higher percentage among those in unaffordable housing.

- **Construction Shortfall**: The BBC estimates that 1.2 million fewer homes have been built than needed, and current building rates will not close the gap for at least 15 years.

- **Young Adults Living with Parents**: More young adults are living with family due to housing affordability issues, impacting their mental well-being.

- **Government Response**: The government claims to have delivered over 464,000 new affordable homes since 2010 and aims to build more, but challenges remain.

This summary highlights the critical issues surrounding the housing crisis in the UK, focusing on its impact on individuals and the broader implications for society.

Housing supply; net additional dwellings, England: 2020-21

Summary of Key Points

Overview:

- In 2020-21, England saw a total of **216,490 net additional dwellings**, an **11% decrease** from the previous year (2019-20).

Key Components:

- **New Build Homes:** 194,060 (90% of net additions)
- **Change of Use:** 23,790 (11% of net additions)
- **Conversions:** 3,870 (2% of net additions)
- **Other Gains:** 530 (0.2% of net additions)
- **Demolitions:** 5,760 (resulting in a net loss)

Permitted Development Rights:

- 10,603 net additions from change of use were through permitted development rights.
- 697 new builds were also completed under these rights.

Trends:

- Net additional dwellings peaked at **242,700** in 2019-20 before declining.

- The current level is **3% below** the 2007-08 peak and **74% above** the trough in 2012-13.

Geographic Variability:

- Significant variation in net additions across local authority areas.

- High rates of net additions were observed in regions like Tower Hamlets and Salford.

Communal Accommodation:

- A net increase of **2,670 units** in communal accommodation, including student and other types.

Affordable Housing:

- **52,100 affordable homes** delivered, representing **23%** of total new additions.

Data Sources:

- The statistics are based on local authority estimates and cover various sources including council tax data and building control.

This summary encapsulates the essential findings and trends from the housing supply report for England in 2020-21.

Statistics on net additional dwellings in England up to 2020 to 2021

Accredited official statistics

Housing supply: net additional dwellings, England: 2020 to 2021

Dwelling stock data: notes and definitions (includes HFR full guidance notes and returns form)

Summary of Key Points

Purpose:

Guidance for local authorities on compiling annual dwelling stock data, including information on vacant properties and net housing supply.

Published by:

Ministry of Housing, Communities and Local Government (MHCLG)

Key Sections:

1. **Total Stock Calculations:**
   - Estimates are based on Census data, adjusted annually for net housing supply.
   - Historical adjustments align with Census estimates from 1991, 2001, and 2011.

2. **Tenure:**
   - Annual stock figures compiled by tenure during non-Census years.
   - Definitions available in the Housing statistics and English Housing Survey glossary.

3. **Net Change in Dwelling Stock:**
   - Annual net additional dwellings calculated from new builds, conversions, and other changes, minus demolitions.
   - Data sourced from local authorities and Greater London Authority.

4. **Vacant Dwellings:**
   - No specific statistical release; data available through live tables on dwelling stock.

5. **Housing Flows Reconciliation (HFR) Form:**

   - Used to record changes in dwelling stock within local authorities, with accompanying guidance notes.

Related Content:

- Links to relevant statistical releases and live tables for further information on housing statistics.

Published 29 November 2023

Summary of Key Points from Housing Supply Report (2022-2023)

Overview:

The report presents National Statistics on net additional dwellings in England for the financial year 2022-2023.

Key Statistics:

- Total net additional dwellings: **234,400**
- Slight decrease from 2021-2022 (down by 70 dwellings, or 0%).
- Breakdown of new dwellings:
  - **New builds:** 212,570
  - **Change of use:** 22,160
  - **Conversions:** 4,500
  - **Other gains:** 640
  - **Demolitions:** 5,470

Trends:

- The annual net additions peaked at 248,590 in 2019-2020 and have since fluctuated.
- The current figures are 6% below the 2019-2020 peak but 79% above the 2012-2013 low.

Components of Net Additional Dwellings:

- New builds accounted for **91%** of net changes.
- Change of use contributed **9%**.
- Conversions and other gains were minimal contributors.

Regional Figures:

- Variability in net additions per 1,000 dwellings across different regions.
- 163 out of 309 local authorities saw increases in net additions from the previous year.

Communal Accommodation:

- Net change included **980** units in student accommodation and **400** in other communal settings.

Comparison with Affordable Housing:

- Affordable housing figures for 2022-2023 will be published later, but previous data indicated that affordable homes made up about **25%** of total new additions.

Technical Notes:

- Data is based on local authority estimates and may be revised over time.

This summary encapsulates the essential findings and trends regarding housing supply in England for the specified period.

This collection brings together all documents relating to housing supply: indicators of new supply statistics.
Housing supply: indicators of new supply statistics

Housing supply: indicators of new supply statistics

Live tables on dwelling stock (including vacants)

Social housing sales (including Right to Buy and transfers)

Information and publications on the English Housing Survey.

English Housing Survey

The Treasury has made £47bn from Right to Buy but we have paid a price in lost social housing

COMMENT29.03.21BY JOHN PERRY

Redfern review into the decline of homeownership

On Wednesday 16 November 2016 the 'Redfern review into the decline of homeownership' was published, described as the most comprehensive review into home ownership in over a decade, and drawing on bespoke polling, focus group evidence, expert analysis and modelling. This came just after publication of the Lyons Housing Commission report 'What more should Government do to promote the building of new homes'

The Redfern Review was commissioned in October 2015 by Labour MP John Healey, Shadow Secretary of State for Housing, and was led by Pete Redfern, Chief Executive of Taylor Wimpey, supported by an independent advisory panel and Oxford Economics.

The Review highlights the fact that whilst 80% of people see home ownership as the preferred form of tenure, there has actually been a significant fall in home ownership in England, from 70.9% in 2003 to 63.6% in 2014/15. This has been as a result of the higher cost of mortgage lending for first time buyers and the rapid increase in house prices, exacerbated by the decline in the incomes of younger people, aged 28-40, relative those aged 40-

65. The decline in home ownership amongst young people has been more than 20% in 12 years.

However, rather surprisingly, the Review suggests that high property prices are a result of rising household incomes, high employment and falling interest rates rather than a lack of housing supply, which it argues has been broadly in balance with new household formation over the last 20 years. It suggests that if conditions remain broadly the same, the rate of decline in home ownership will actually stabilise in the near term.

The Review calls for a cross-party approach to housing issues and proposes the establishment of an independent Housing Commission to take a non-partisan approach to long-term housing decisions. This would be analogous to the National Infrastructure Commission, and its primary role would be to make recommendations about the impact of policy changes on long-term supply and the reasons for house price trends.

It encourages Governments to focus on all tenures, supporting both a healthy private rented sector and a supportive social housing sector.

Pete Redfern said: “The detailed analytical work of the Review reveals the challenges that young people face in buying their first home and highlights the impact on them of long-term falls in relative incomes and ability to borrow. We must focus on supporting today’s younger generation and creating a genuine long-term housing strategy independent of short-term party politics if we are to improve the position in a sustainable way for future generations.”

John Healey MP, the Shadow Secretary of State for Housing, said: “Housing is at the heart of widening wealth inequality in our country. Labour is determined to get to grips with the falling number of home owners and this Review gives us, and politicians of all parties, the foundation to do that.”

Related articles on **Designing Buildings Wiki**

- Affordable housing.
- Conservative party conference affordable housing.
- Housing and Planning Act 2016.
- Housing and Planning Bill 2015.
- Housing shortage.
- Interview with Labour's Shadow Housing Minister.
- Lyons Housing Commission report.
- Lyons Housing Review.
- Lyons Inquiry.

•Nationally significant infrastructure projects and housing briefing note.
•Private rented sector PRS.
•Public attitudes to new house building: Findings from the 2013 British Social Attitudes Su

The Finance Insurance and Real Estate (FIRE) burning down the free market in Housing.#AbsorptionRate #Dividends #Sharebuybacks #TopPay #SalesIncentives #LandBanking.

ROGERGLEWIS MAY 8, 2023

https://open.substack.com/pub/grubstreetinexile/p/the-finance-insurance-and-real-estate?r=l1oox&utm_campaign=post&utm_medium=web&showWelcomeOnShare=true

Summary of Key Points

****Title:** The Finance Insurance and Real Estate (FIRE) Burning Down the Free Market in Housing**

Author: Roger G. Lewis

Published Date: May 8, 2023

1. **Financialization of Housing:**

   - The housing market is increasingly influenced by financial interests, leading to a focus on maximizing shareholder value rather than addressing housing needs.

2. **Investor Influence:**

   - Major investment firms hold significant shares in multiple housebuilders, allowing them to exert considerable influence over industry practices and decisions.

3. **Global Investment:**

   - A large portion of investments in UK housing comes from overseas, complicating local efforts to manage housing supply and affordability.

4. **Local Authority Housing:**

   - There is a call for building local authority housing funded at the local level to address the housing crisis effectively.

5. **Market Dynamics:**

   - The discourse around housing often overlooks demand-side factors like interest rates and income inequality, focusing instead on supply shortages.

6. **Critique of Policies:**

   - Current policies and practices are criticized for failing to meet the needs of the housing market, resulting in forced demand rather than genuine market desire.

7. **Merger Implications:**

   - Recent mergers in the housing sector, such as Vistry and Countryside, are seen as moves that could potentially enhance housing delivery but also raise concerns about market concentration.

8. **Crisis of Affordability:**

   - The rising costs of renting and buying homes are leading to a crisis, with many individuals facing financial strain and limited options.

9. **Calls for Reform:**

   - There is a strong push for re-evaluating the current housing finance models and implementing reforms that prioritize affordable housing solutions.

This summary highlights the critical issues surrounding the financialization of housing and the urgent need for systemic changes to address the ongoing crisis in the housing market.

Original Paper

•Open Access

•Published:

The financialization of rented homes: continuity and change in housing financialization

•Gregory W. Fuller

Review of Evolutionary Political Economy volume **2**, pages 551–570 (2021)

Abstract

This paper has two purposes: the first is to offer an empirical account of how rented homes have become more entangled in financial markets over the past two decades, particularly through the advent of real estate investment trusts (REITs) and listed real estate operating companies (REOCs). The second is to assess whether conceptualizing this as a process of “rental housing financialization” – distinct from but connected to the broader concepts of “housing financialization” and “financialization” – offers value to the scholarly community.

The concept of “financialization” captures the dominant trend in

---

capitalist development – and “housing financialization” has been

---

one its clearest and most salient manifestations – over the past

---

50 years. Except when purchasing with cash, the sale of a home

usually requires the parallel and entangled creation of a financial instrument – a mortgage. As such, the increasingly mainstream business of lending to households has focused on the *owned* home. Especially since the global financial crisis at the end of the 2000s, we have seen the emergence of a different sort of housing financialization focusing on the *rented* home. Here, we are particularly interested in real estate investment trusts (REITs) and listed real estate operating companies (REOCs). This paper argues that there is analytical value in separating the

concepts of housing financialization and rental housing financialization. Accordingly, the paper begins in the first section with a critical examination of both financialization and housing financialization as social science concepts. The second section then frames recent developments in residential rental markets as a distinct idea: rental housing financialization. The third section provides a survey of these developments across divergent local systems, while the final section concludes by arguing that conceptually separating the financialization of

residential rentals from the more-established financialization of

the owned home yields analytical and strategic value.

1 Financialization and conceptualization

Financialization is a concept that is subject to criticism, particularly concerning whether it is too ambiguous or ill-defined to offer practical value to researchers. These debates are arguably best captured by Ewald Engelen (2008), as well as Brett Christophers (2015) and Manuel Aalbers (2015) in dialogue, who collectively present a nuanced view of a concept with problems – but also with potential utility.

There is no doubt that financialization can mean a great number of things – so many that any effort to cover all of its meanings in would run a serious risk of incoherence. As Christophers notes, there were already at least 17 different meanings assigned to the term financialization by the end of the 2000s (Lee et al. 2009) – and more have proliferated since. Even those more positively disposed to financialization as a concept readily concede this point: financialization means a lot of different things. Moreover, its history as an idea can be narrated in different ways. Some trace the concept back to Giovanni Arrighi (1994), others prefer citing Magdoff and Sweezy (1987), and one could argue that the appropriate place to start the discussion is with the (disparate) early twentieth century contributions of Rudolf Hilferding, RH Tawney, Adolf Berle, and Gardiner Means.

This paper follows Aalbers (2015, 216) in arguing that the primary value of financialization is in connecting “different disciplines but also different levels of analysis, from the very micro to the very macro – and demonstrating how they are related.” That is, it has value as an umbrella term reminding us that, while studies of financialization might examine very different subjects in very different ways, they remain part of a broader whole. This value is reflected in the two most oft-cited definitions of financialization, the first from Aalbers (2017, 544) building on an older – but broadly very similar – definition offered by Gerald Epstein (Epstein 2005, 3):

> I define financialization as “the increasing dominance of financial actors, markets, practices, measurements and narratives, at various scales, resulting in a structural transformation of economies, firms (including financial institutions), states and households”
>
> financialization means the increasing role of financial motives, financial markets, financial actors, and financial institutions in the operation of the domestic and international economies.

As Aalbers himself notes, these definitions need to be refined in order for operationalization in any specific context; however, their comma-laden inclusive phrasings capture the multifaceted family resemblances that hold the financialization literature together. Yet, this begs the question of whether tying together such distinct ideas is of value in the first place.

For Aalbers – and for your present author – the answer is yes. Many of the scholarly communities engaged with financialization struggle with communication across disciplinary, sub-disciplinary,

methodological, and ideological boundaries. Human geographers, sociologists, anthropologists, political economists, economists, and housing specialists all discuss ideas that would fit under the umbrella definitions above. However, these communities struggle to understand and cite one another and often fail to recognize that they are carrying on closely related conversations using slightly different conceptual frames. The same occurs within fields across functional lines: one political economist might be focused on how financialization works for non-financial firms while another political economist does the same for households, and another for the state. Arguably most importantly, financialization bridges multiple levels of analyses: the financialization of individual life cannot be considered wholly separate from efforts to understand financialized accumulation regimes – and intermediate-level theories concerning institutional actors such as banks or businesses or households connect to both the micro and macro levels.

Ultimately, the fundamental value of financialization as a concept stems from these linking functions. By classifying discrete processes as financialization and linking them together within a unified concept, we effectively engage in what Alexander Wendt (1998) would describe as constitutive explanation. The act of classifying a thing as financialization calls into being an understanding of modern society in which the rising salience of finance and financially mediated social relations play central roles.

1.1 Housing financialization

Such a broad definition would be impossible to operationalize in a single way because it encompasses a multitude of interrelated

processes. The key task for a scholar writing on financialization is therefore to indicate which of these processes they are investigating and how they link it to the broader whole. Of particular interest here is financialization as it pertains to the home. This could be defined by using the Aalbers definition above with an emphasis on housing specifically. Another good definition specifically intended for this purpose comes from the UN Human Rights Council (2017, 3) which defines housing financialization as:

> [S]tructural changes in housing and financial markets and global investment whereby housing is treated as a commodity, a means of accumulating wealth, and often as security for financial instruments that are traded and sold on global markets. It refers to the way capital investment in housing increasingly disconnects housing from its social function of providing a place to live in security and dignity.

Through the early 2010s, most of the research into housing financialization revolved around homeownership. While certain aspects of contemporary housing financialization can be traced back to the advent of mortgage-backed securities (MBS) in the USA or even the earlier development of covered mortgage bonds in Northern Europe, the explosion of interest into housing financialization typically coincides with the expansion of the 1980s' housing bubbles, their bursting during the 1990s, and reemergence in the early 2000s. Reflecting the linking value of the financialization concept, this era of housing financialization cannot be understood without the broader context of banking deregulation, international capital flow liberalization,

collapsing interest rate controls, and welfare state retrenchment across the developed world. Even though many of the instruments at the heart of housing financialization had existed for decades, it was not until the 1980s that a combination of factors accelerated the process of integrating housing wealth into mainstream financial markets. Much of the early literature in the field of housing financialization was thus centered on teasing out the causes and consequences of the transformation underway – with particular emphasis on rising precarity and broader macroeconomic instability (c.f. Aalbers 2008, 2017; Aalbers and Christophers 2014; Fuller 2016; Fuller 2019).

Like financialization itself, the value of housing financialization is that it functionally connects similar scholarly discussions across different academic communities. The value of this linkage is perhaps most evident when looking at works that could be part of the financialization literature but are not generally thought of that way. This is particularly true in mainstream American economics – likely due to the baggage of heterodoxy associated with a term devised by Marxists. Thus, scholars such as Atif Mian and Amir Sufi (2014; 2018) essentially engage in work that very clearly sits under the financialization rubric – even drawing many of the same conclusions – but do not use the term. Similarly, the emergence of the “safe assets shortage conundrum” within economics is closely related to why capital has tended to reach out and integrate new classes of financial assets (Caballero et al. 2017) – but this is generally not considered part of the financialization literature. The lack of interactions between these different communities has arguably weakened them all – the economists do not cite the sociologists

and human geographers, who in turn rarely cite the orthodox economists, leaving us all the poorer for it.

The final section of this paper will return to lessons we have taken from the housing financialization literature in order to assess whether these lessons are modified at all by considering not just the financialization of owned homes, but the financialization of rented homes as well. That is, what explanatory value is offered by setting rental housing financialization aside as a concept unto itself? It is to this question that we now turn.

2 Rental housing financialization

The first generation of housing financialization research focused extensively on mortgage markets and homeownership, as it was these assets that were integrated into increasingly globalized financial markets at the end of the twentieth century. It was not until the 1990s – accelerating through the first two decades of the twenty-first – that residential rental properties were subjected to the same process.

Gertjan Wijburg (2018) separates this into two distinct periods. The first, which he calls housing financialization 1.0, refers to the late-1990s and early 2000s entry of private equity firms into the market for multi-family residential (MFR) property like apartment blocks and towers. In this phase, financial firms would buy up large properties and hope to sell them to realize capital gains – effectively engaging in house “flipping” on properties too large for retail speculators. As housing markets across developed economies crashed toward the end of the 2000s with the onset of the financial crisis, these actors exited the market and sold their physical buildings to other institutional investors. In

particular, a large number sold their asset portfolios to the newest actors in town: REITS and listed REOCs.

Residential REITs and REOCs share two basic traits: (1) they primarily own residential real estate and derive most of their income from rent or property sales, and (2) they are publicly listed on an exchange. The two structures differ on a third criteria: REITs are “pass-through” entities built to distribute the vast majority of their profits to shareholders in the form of dividends; listed REOCs are ordinary corporations and can more easily reinvest profits into their operations. This arrangement means that REITs do not have to pay corporate tax on their own earnings; rather, those earnings go straight to shareholders who then pay the required taxes. REITs can accrue investor fees and manager salaries, retaining a small portion of their rental incomes, in exchange for pushing virtually the entire tax burden of their holdings onto the end investors.

Both REITs and listed REOCs have tremendous benefits for end-investors, despite their assuming the tax burden in the former case. This is especially true of smaller investors who would otherwise struggle to access these revenue streams. A financial market participant buying a share in a REIT or REOC does not have to buy an entire apartment tower (i.e., a large chunk of illiquid, undiversified, physical property). Instead, they can buy a slice of the income generated by a number of different properties, safe in the knowledge that it is much easier to get rid of a liquid financial product than it is to get rid of a physical building. Furthermore, the hassle of actually owning, letting, and maintaining physical property is handled by the REITs and REOCs themselves.

This sort of company has existed since the mid-twentieth century; however, they are relatively new to the residential market (EPRA 2017). Most existing REITs do not own homes at all, instead holding office and retail space, industrial infrastructure, healthcare facilities, mobile phone towers, and even data centers and timberlands. Belgium, for example, has the second-oldest REIT structure in Europe, and non-residential REITs own about half of all office space in Brussels – but less than 1% of housing (Romainville 2017; Marzuki and Newell 2019).

Despite their obscurity, REITs and REOCs were well-positioned after the financial crisis of the late 2000s – and again during the Covid-related downturns (Morwa 2020; Strauss 2020; Corcoran 2020) – to expand into residential markets. While listed real estate firms do earn income by selling their properties (as was the case with financialization 1.0 firms), this is not their chief goal. Rather, REITs and REOCs market themselves as providing sources of income insulated from the business cycle in the form of rents. Their investor presentation materials emphasize high occupancy, reliable tenants, quality locations, and low turnover of properties – essentially promising reliable returns even during bursting housing bubbles or international slowdowns in economic performance. If hedge funds went into MFR real estate engaged in the risky business of what Keynes called “speculation” (i.e., seeking capital gains by guessing where the market would go next), REITs and REOCs are engaged more in the more sober business of “enterprise” (i.e., seeking income-like returns on a longer-term investment). This, not incidentally, makes REITs and REOC shares look far more attractive to the glut of global savers driving Caballero et al.’s “safe assets shortage.”

Freed from the pressure to predict where capital gains will be highest, REITs and REOCs focus on achieving profitability through longer-term cost-cutting and revenue maximization. Cost reductions are typically achieved through economies of scale, with large regionally focused landlords able to use their size to reduce maintenance and upkeep expenses (though simple disregard for maintenance and upkeep have also been evident in cases). There are a number of different strategies in use to raise revenue, from divesting older properties and using the proceeds to develop or purchase newer higher-return properties, to aggressively raising rent in deregulated rental markets, to making property upgrades that can be used to justify rent increases even under controls.

The specific structures of listed real estate entities can vary a great deal – even within a relatively defined category like REITs. Some REITs are not publicly traded; others operate through holding mortgages on properties rather than owning properties themselves. We are focused here on the integration of rental properties into financial markets as equity-like instruments, which means that we are focusing specifically on listed REOCs and equity REITs focused on residential real estate. Even with these restrictions on scope, we are talking about major actors: REITs now dominate the ranks of the largest landlords in the USA (NMHC 2020) and Canada (August 2020) – and Germany-based REOC Vonovia is the single largest corporate landlord in Europe, owning over 400,000 homes.

2.1 The illuminating but confusing tale of Vonovia

Indeed, Vonovia provides a useful mini-case to illustrate what the current era of rental financialization looks like – both in comparison to rental financialization 1.0 and in seeing what a *non*-financialized alternative might be. The bulk of the

properties currently owned by Vonovia began their lives as publicly owned homes intended for employees of Deutsche Bahn, the German state railway company. During the height of German triangulation politics under Gerhard Schröder, these properties were sold off as part of a push toward broader privatization of Deutsche Bahn. The initial buyers of the properties were a pair of private equity firms (Nomura Holdings in Japan and Terra Firma in the UK) which had previously set up Annington Homes to buy up government-owned residential property from the British Ministry of Defense in the late-1990s. They then repeated the process in Germany, forming a firm called Deutsche Annington (Korthals Altes 2019).

The firm continued to buy state-owned housing assets, particularly the stock once owned by the state utility VEBA, as well as smaller portfolios. After the credit freeze of the late 2000s and related housing bubble collapse, the firm diversified its funding sources by going public, converting itself into a publicly listed REOC, eventually becoming the first real estate company included in Germany's DAX index. In 2015, Deutsche Annington merged with Luxembourg-based GAGFAH – itself largely owned by US-run private equity firm the Fortress Investment Group – to form what is now called Vonovia. Reflecting the shift away from private equity and toward savers seeking "safe" assets, the firm's two largest shareholders are now BlackRock – a major US firm focused on fixed-income investment – and the central bank of Norway (i.e., the end investor is the Norwegian sovereign wealth fund) (Vonovia 2020a).

Over 30 years, a home that might have once been owned by the German state for the purpose of housing state employees (non-financialized rental housing) has been sold to a private equity

firm hoping to resell the property for capital gains (rental financialization 1.0), only to watch capital for such acquisitions dry up, leading them to sell shares in the income streams generated by that property through organized exchanges (rental financialization today via listed real estate firms). Moreover, while Vonovia is not formally a REIT – there is an alternative "G-REIT" structure available in Germany, which places more restrictions on the firm – it is generally discussed alongside REITs as a comparable structure and is included in the global index of REITs provided by NAREIT, an industry group representing REITs.

3 Listed real estate around the world

Vonovia is just one prominent example of a whole new listed equity ecosystem in global housing markets. REITs have existed as a specific structure since their first creation in the USA in 1960, with the Netherlands, New Zealand, and Taiwan following shortly after (1969). These early entities were focused on commercial rather than residential property. It was not until the twenty-first century that REITs accelerated their expansion globally and into MFR properties as well as portfolios of single-family rental (SFR) homes. Most major economies – Japan (2000), France (2003), Germany, Italy, the UK (2007), Spain (2009), Mexico (2010), India (2014), and Saudi Arabia (2016) – adopted US-style REIT structures in the past two decades, with China actively investigating them as of writing. All told, REITs are specifically available in about 40 countries globally, accounting for about $3.5 trillion in total value – with the largest concentrations in the USA and Japan. Most of that accrued after 2000, with the total (including non-

residential) US REIT market valued at a modest $139 billion at the turn of the century (Nareit 2020).

Looking at residential REITs and listed residential REOCs together, their expansion has been a product of the post-financial crisis era. As noted previously, this was partly due to the crisis itself: private equity firms and hedge funds wanted to exit the market entirely as distressed homeowners sold property or were foreclosed upon and the prospect of capital gains dimmed. Both REITs and REOCs often stepped in as buyers of these properties. Funds continually merged and absorbed one another, leading to a bewildering array of rebranding exercises – as with the case of Vonovia. Indeed, reading even very recent academic articles about these entities often involves sleuth work to determine which names had been changed and who now owns whom.

The global expansion of the market peaked in 2019 before taking a Covid-driven downturn. Even so, global property advisors Savills declared, “once considered alternative, operational residential has become a mainstream investment asset class and the defensive benefits of investing in beds are set to continue” (Roberts and Tostevin 2020, 2). Many investor presentations published in 2020 made reference to this: they see continuing uncertainty as ensuring demand for rental housing, particularly among knowledge economy workers not looking to purchase a home. Going deeper than these broad characterizations requires a more regional perspective:

3.1 The USA

The United States was the innovator and chief evangelizer of the pass-through REIT structure, following a long history of housing financialization on the ownership side. Its 22 residential REITs

are the largest and most varied in the world, though many of the most significant ones pursue similar strategies. Equity Residential (no. 2), AvalonBay (no. 3), Essex Property Trust (no. 10), Aimco (no. 21), and United Dominion Realty (no. 22) are all among the 25 largest landlords in the country, collectively owning approximately 300,000 homes and generally pursuing similar business strategies (NMHC 2020). They are all primarily focused on accumulating high-quality A- and B-grade properties in established high-income coastal metro areas rich in knowledge economy jobs like New York, Boston, Washington DC, Los Angeles, and San Francisco (Jensen 2018). In their investor materials, these REITs showcase the high standards of their properties and the financial reliability of their higher-income tenants.

A related group includes Mid-America Apartment Communities (MAA) – the largest residential landlord and REIT in the USA – as well as smaller firms like BlueRock Residential and Camden Property Trust. These pursue very similar strategies to the above but with a different geographical emphasis. Instead of clustering in high-cost coastal urban locales where rental regulations are more common, they are focused on lower-cost and regulation-favorable areas across the Sun Belt, where the knowledge economy is growing rapidly. This group of metro areas includes Phoenix, Las Vegas, Texas' major cities, Nashville, Atlanta, North Carolina's "Research Triangle," and much of Florida. The lower population densities of these areas also mean that SFR REITs that let out whole standalone homes, such as American Homes 4 Rent (AH4R) and Blackstone-backed Invitation Homes, are also active. These SFR landlords also position themselves as an option for higher-income tenants, and their customer base tends to be older and includes

more families looking for larger properties in suburban areas, with good transport links and schools.

Both of these groups of funds invest in higher-end properties near "high-quality employers" in both suburban and urban areas (Amazon, Facebook, and Google are all explicitly mentioned in multiple investor presentations) – in particular, where newbuilds with quality amenities or property upgrades bring in higher-income tenants who can sustain larger rent increases (Equity Residential 2020). This group of trusts, focused on leveling up residential properties in desirable areas in order to attract a higher-income clientele, is the prime drivers of concerns over gentrification.

Several of these firms have notably poor public reputations. Equity Residential, often cited as a major cause of urban gentrification, is currently the defendant in a class-action lawsuit over the use of stiff late-payment penalties allegedly being used to push regulated renters out of units so they could be replaced with higher-income tenants (Wotapka 2012). Invitation Homes and AH4R are similarly defending themselves in more than a dozen class actions related to overly aggressive use of late fees as well as insufficient maintenance practices (Semuels 2019; Anderson 2019). Equity founder Sam Zell is a particularly hated figure among housing advocates, due both to Equity's corporate behavior and Zell's personal bankrolling of campaigns against progressive housing measures such as rent controls (McDonald 2020).

Indeed, fears over statutory rent controls or requirements to provide affordable housing make relatively frequent appearances in these firms' materials. Aimco (2020), for instance, projects that

it will be winding down its investment in the traditional high-income coastal centers in order to reallocate its portfolio to more deregulated jurisdictions. Similarly, UDR (2020, 22) trumpets its ability to lobby governments to oppose housing regulation, “enabling our surgical approach toward pricing apartment homes.” In investor materials, these companies explicitly describe progressive housing policies as threats to their business models and spend substantial sums of money ensuring that rent-control regulations such as California’s Proposition 10 (2018) and Proposition 21 (2020) go down to defeat.

There are some smaller groups more explicitly focused on providing mid-market options, achieving cost savings by targeting smaller metro areas or accumulating and upgrading older B-class properties. These include Investors Real Estate Trust (IRET), Independence Realty Trust (IRT), Front Yard Residential, and BSR. However, even among these more cost-conscious landlords, there is still a clear emphasis on chasing the same tenant demographic: younger, higher-income, professional workers looking for a quality mix of amenities and location. While described as mid-market and found in sleepier communities, these properties nevertheless often sit within gated communities, offering swimming pools, fully equipped fitness centers, and other shared recreational facilities. If not contributing to the sort of urban renewal generally thought of as gentrification, these investments nevertheless give the impression of investment resources being driven to relatively high-end options.

Ultimately, among existing publicly traded residential REITs, the most affordable housing owned by REITS is manufactured homes (i.e., trailers and RVs) and their communities – Sun Communities,

Equity Lifestyle Properties, and UMH Properties. While unambiguously serving lower income tenants, these firms also engage in controversial practices, some of which are enabled by the dissociation between ownership of a manufactured property and ownership of the land under that property. That is, these entities focus on owning the land and providing communal services, while the homes themselves can also be rented or owned, and can be physically brought from elsewhere. Sun and Equity have been cited in lawsuits over practices related to the confiscation and removal of such homes – sometimes without adequate notice (FMO 2019). Additionally, a jury found Equity Lifestyle – also founded by Zell – liable for $111 million in damages over poor maintenance at its California Hawaiian Mobile Estates (Kaplan 2014).

3.2 Europe

Annual investment in European MFR property, which had peaked in the pre-2008 period below €20 billion, reached nearly $60 billion by 2019, with the Covid-affected first quarter of 2020 outpacing even the record pace in 2019.[1] As in the USA, these flows are disproportionately directed toward a small number of dynamic and wealthy metro areas. In declining order of investment volume, the leaders in absorbing MFR investment flows between 2014 and 2018 were Berlin, Copenhagen, London, Amsterdam, Stockholm, Hamburg, Madrid, Frankfurt, Munich, and Dublin (CBRE 2019; Stachen 2020). To this, we can add a number of higher-income university cities that attract internationalized student housing specialists like Belgian REIT Xior Housing.

Given national regulatory differences, there is a more diverse set of REIT and REOC firms in Europe. Even so, there are some additional parallels to our descriptive exploration of the

American environment. Ireland's largest residential landlord is its one residential REIT – the fittingly named Irish Residential Properties REIT (I-RES) – which operates similarly to the US REITs in wealthy coastal centers. It owns 3700 newer high-end properties almost exclusively in the Dublin metro area and intended for rent to professional tenants (Irish Residential Property REIT 2020). Given that this one firm has defined the Irish residential REIT experience, it is perhaps not unsurprising that Richard Waldron (2018) grew concerned that REITs in Ireland would contribute to inequality and the subordination of local preferences to the demands of internationalized capital on a hunt for yield. Similarly, French REIT Gecina has embraced a strategy of investing in areas of "scarcity and centrality" – almost entirely in Paris (Gecina 2019).

The largest source of listed residential real estate assets in Europe is Germany, where Vonovia (no. 1), Deutsche Wohnen (no. 2), and LEG Immobilien (no. 4) are each among the five largest real estate funds of any description in the whole of Europe. Vonovia is explicitly trying to reduce exposure to peripheral areas in favor of urban regions such as the Randstad conurbation, the Ile de Paris region, Vienna, and Sweden's major cities. Key to Vonovia's strategy is the renovation of its properties. This is particularly important in Germany, where making capital improvements is essential in order to raise rents beyond market rates. While rent increases in Vonovia's properties were only marginally higher than the market average in 2013, modernization-tied rent hikes drove that to more than double the market average by the end of the 2010s (Vonovia 2020b). Deutsche Wohnen pursues a similar strategy on its roughly 165,000 homes mostly in and around Berlin, while

LEG Immobilieren is specialized in the wealthy state of North Rhine-Westphalia, emphasizing growing metro areas and university towns rich in (again) knowledge economy jobs.

Germany is unusual among developed countries in that long-term tenancy is one of the most common forms of housing tenure, and many people rent by choice. This, combined with the low cost of investing in real estate in booming areas such as Berlin, has contributed to an explosion of investment and construction activity. Foreign REITs have gotten in on the action, with the residential holdings of French REIT Covivio (itself the 9th-largest REIT in Europe) held almost entirely in Germany. Most recently, the largest German inflows into MFR have been from Norwegian institutional investors (JLL 2020). As noted earlier, this intense activity extends to mergers and acquisitions. In 2016, Vonovia failed to complete a hostile takeover of Deutsche Wohnen, though it did succeed in scuppering Deutsche Wohnen's own attempt to absorb another fund, LEG (Jones et al., 2016). The contentious takeover attempt collapsed over concerns that Berlin would not be able to sustain the sort of rent increases investors had hoped for – not least because the Berlin government is prone to interfere through rental regulations.

There are some examples of European residential REITs that do not emphasize higher-end property in growing metro areas and, perhaps surprisingly, they are clustered in the UK. The largest British REITs are not focused on residential property – and those that are tend to be smaller and more specialized. In fact, a failed attempt by Harwood Capital to set up a high-yield REIT invested in British residential property suggested that appetite for MFR REITs is not boundless, especially in places where MFR property is already

extremely expensive, as in London. After announcing an initial public offering, the prospective trust failed to attract enough interest from institutional investors and was scrapped, returning initial investors' money (Lumsden 2018).

Instead, the most substantial residential REITs located in the UK are far more niche. Some have invested predominantly in housing for retirees (KCR Residential and Residential Secure Income), others in university housing (GCP Student, Empiric Student Properties, the Unite Group), and two substantial REITs have focused on housing for disabled people with substantial need for living assistance (Civitas Social Housing and Triple Point Social Housing). Retirement and student homes are seen as less exposed to normal business cycle fluctuations and – especially in the case of student housing – benefit from localized monopolies in supply-constrained areas like central London. The two social housing REITs are among the most aggressive in marketing the ethics of their business models. This specific class of housing is exempted from wider rent controls in social housing because developing and maintaining them is particularly capital-intensive. Moreover, these REITs generally do not let directly to social housing tenants; rather, they partner with local government or private healthcare providers who then provide the housing to residents, limiting exposure to market fluctuations.

3.3 East/Southeast Asia

Outside of the USA, parts of East and Southeast Asia have been the most enthusiastic adopters of REITs, with an especially well-developed market for residential REITs found in Japan. Japanese REITs are more heavily residential – with residential REITs making up 18 percent of total REIT market capitalization – than anywhere

in the world, higher even than the USA (14 percent). These holdings are held by a fluctuating number of around 10 Japanese REITs (J-REITs) whose size has collectively expanded from roughly $300 million in 2006 to over $20 billion by the end of the 2010s (Lin et al., 2019).

Residential J-REITs are very similar to each other – and to what this survey has identified as a core approach to REIT investment. All are overwhelmingly concentrated in Tokyo, Osaka, and Nagoya, with metro Tokyo accounting for the vast majority of all assets. Advance Residential Investment Corporation, the country's largest residential REIT, describes its strategy as investing in all types of housing, with an emphasis on smaller and newer "prime" properties intended for rent by office workers, especially two-income childless households. Comforia Residential REIT, Nippon Accommodations, Sekisui Housing, Kenedix Residential, Starts Proceed Investment Corporation, Samty Residential, and the residential components of Daiwa House REIT all fit within this broad approach – an assessment that closely echoes Natacha Aveline-Dubach's (2020) findings on residential J-REITs.

East Asian real estate more widely has become a more popular destination for post-financial crisis capital flows. Insurers such as France's AXA and Germany's Allianz, together with predominantly Asian pensions and sovereign wealth funds, are the largest contributors of these flows, seeking to indirectly invest in real estate as part of their broader portfolios (Lin et al., 2019). Most recently, the Covid pandemic has incentivized more defensive investments in "safe havens" such as prime Japanese real estate (Liu et al., 2020).

REITs and listed real estate are also well-established in Hong Kong, Singapore, and Taiwan, with Hong Kong's Link REIT being the oldest and largest in Asia – as well as a highly controversial encourager of gentrification (Huang 2010; Yuen 2016). However, residentially focused REITs in these countries are less common, and a large share of publicly listed real estate is held outside formal REITs. A noteworthy example, and helpful reminder of the multidirectional nature of capital flows in this area, is Singapore's Ascott Residence Trust. It owns properties spanning 39 top urban areas in 15 countries throughout the developed world, predominantly in serviced properties intended for wealthier travellers and term accommodation for professional workers (Ascott Residential Trust 2020).

Finally, China already sports a listed real estate sector worth $600 billion, though REITs are only beginning to appear as formal structures (Chong 2019; Bloomberg 2020). A cluster of younger Chinese scholars working in urban studies reflect this interest – with a special emphasis on using REITs to encourage the construction of more "affordable" housing (Huang 2010; Hueang 2019).

4 Continuity and Change in Housing Financialization

Thus far, we have set up rental housing financialization as a separate aspect of financialization, linked to the whole – especially to housing financialization – but distinct in important ways. But how does that help us understand the relationship between finance, housing, and society? Ultimately, the value of this paper hinges on the claim that it does – and that the concept helps us *explain* something. While there are clear parallels to the financialization of owned homes, there are also key areas where

the financialization of rented homes operates differently and should be expected to lead to different consequences.

4.1 Continuity

The most substantial commonality between financialization of the owned and rented home is the persistence of a generalized trend modified by substantial variation across local systems. Martine August (2020, 2), building off of Aalbers (2017), refers to this as a pattern of “hegemonic but also variegated” change.

This pattern results from contradictory realities at the heart of housing financialization in all its forms: *real* markets for housing remain highly localized but *financial* markets for housing-derived assets are increasingly globalized. Most homes are not internationally mobile, nor are most people. As a result, local conditions such as mortgage regulation, rent controls, tenants’ rights, wage protection, and bankruptcy procedures continue to reflect jurisdictional divergence in institutions, culture, history, and ideals. Once housing assets are converted to financial products, however, they become integrated into global capital markets and are increasingly subject to homogenizing forces. This is arguably most evident in the increased synchronization of global housing prices (Alter et al., 2018) in major urban centers where most REITs and REOCs focus their activity. So, while it is impossible to talk of a global real estate market (Hilbers 2020), it is possible to talk of a globalized market for real estate–derived financial products. Connecting the pool of global capital to locally distinct housing markets requires instruments that bridge the gap between the global financial system and local property markets. In the case of financialized homeownership, MBSs, covered bonds, collateralized

debt obligations (CDOs), and credit default swaps filled this role. Each of these instruments helped mainstream savers – pension and insurance funds, banks, sovereign wealth funds, and wealthy individuals – gain access to capital income in the form of mortgage payments. REITs and listed REOCs serve an analogous purpose on the rental side of the market: they enable mainstream savers to gain access to capital income in the form of *rent* payments. The two sets of instruments both lower the entry costs of investing in real estate, generally improve access to real estate–derived products, and allow for diversification which can insulate the end-investor from risks of non-payment.

This dynamic, whereby housing assets are brought into mainstream financial markets as a source of income and a store of wealth, brings us back to the value of financialization as a concept. It helps remind us that we are talking about one part of a much larger picture, in which the integration of housing into financial markets is driven by other aspects of financialization (such as the shifts toward liberalization, deregulation, and greater corporate savings and financial activity). In this regard, rental housing financialization represents a slightly different mechanism for what is – broadly speaking – analogous to the function of mortgage-based financialization.

A second commonality between the financialization of tenancy and homeownership is the degree to which financial innovation is presented as a sort of panacea for social ills. The unrealized and retrospectively ironic promise of mortgage securitization was that it would drastically reduce the risk of default and related economic turbulence. This is another area where we can see the links to the broader financialization story. Former Chairman of

the US Federal Reserve, Alan Greenspan (2000), argued toward the end of his tenure that the process of financial innovation had essentially ended postwar business cycles as we had known them – moving us into what became known as the "Great Moderation." The technical construction of housing-anchored financial derivatives was a crucial example of the great promise of financial innovation (Hellwig 2009). As each of these promises have proven ephemeral, some new candidate appears.

So it happens that while expectations of securitization have been tempered, advocates for listed real estate make even bolder claims about their social utility. One 2018 report by accountancy firm Grant Thornton was simply titled, "REITs as a force for good" (Stannard 2018). In the UK, for instance, the Civitas Social Housing REIT (2019, 12) trumpets its inclusion on lists of how to "make money morally" through investing in the social housing sector – claims echoed by another British firm, the Triple Point Social Housing REIT. A particularly common claim across the globe is that entities like REITs can solve housing crises by filling a need for ostensibly affordable housing, "help[ing] increase the supply of affordable housing while potentially receiving positive tax benefits and risk-adjusted returns" (Brumer 2019, para. 2). As was the case with the ostensible benefits of financial innovation in general – or the development of securitized mortgages in particular – there are reasons to doubt this happy story where rental financialization is concerned as well. The primary concern expressed by more skeptical observers is that REITs and similar structures might direct capital in such a way that serves the needs of capital while leaving the needs of more

vulnerable communities unmet – as discussed below (August and Walks 2018; Waldron 2018; Lima 2020; August 2020).

4.2 Change

There are also at least three substantive differences that emerge when focusing specifically on rental housing financialization: (1) whereas the financialization of homeownership has radically altered *demand* for housing, there is some reason to expect the financialization of rented homes to alter *supply*; (2) the transparency of listed instruments like REITs and REOC shares is far higher than the transparency of instruments more associated with owned homes, particularly MBSs and CDOs; (3) financialization alters a tenant's relationship with their home less than it affects the owner's relationships with their property. These three differences make the strongest case for the utility of different conceptualizations of how financialization affects the home.

There is some reason to expect that rental financialization can expand the supply of housing, potentially easing housing crises. This cannot be said about the financialization of owned homes – and points at one area where the broad promise of financialization *may* have *some* genuine appeal from a progressive standpoint. With mortgage-lending, the participation of financial firms in the markets acts to boost demand for housing: people who do not possess sufficient funds to buy a home outright (i.e., most people) can now borrow funds from a third party, requiring them to only raise a small percentage of a home's purchase price. This pushes housing prices up as more buyers are brought into the market via increased financial access. There may be some eventual growth in housing supply as builders recognize the greater profits

on offer – but it is not directly incentivized and might be opposed by existing homeowners.

The incentives work out very differently for financialized landlords, who want to maximize their number of units and tenants – especially if those properties are geographically clustered – to benefit from economies of scale. This means that while financialized landlords will clearly be looking for ways to increase per-unit rent (i.e., raising prices), they are also incentivized to create more units in the first place – necessarily mitigating some upward pressure on prices. However, the incentive to boost housing supply only operates in markets that offer strong returns. This contributes to the worry mentioned earlier: that purchases by listed real estate firms directly contribute to gentrification, pushing lower-income tenants out of areas targeted for development even as the local housing supply rises. This is reflected in how many listed real estate firms focus on what is sometimes called “workforce” housing – that is, housing that serves people earning between 80 and 120% of the local median income. While described as “affordable,” such housing is not affordable to large sections of the workforce, leading to some controversy over the use of the term (Ford and Schuetz 2019).

A second major difference between the financialization of owned versus rented homes is that listed rental real estate is a leap forward for transparency. The key difference is in the availability of information about the physical properties underlying the financial product: it is far easier to see the actual building you are purchasing a claim to when buying a share of a REIT or REOC than it is when purchasing an MBS or CDO. Indeed, obtaining information about the underlying properties at

the heart of a securitized mortgage before the global financial crisis was so difficult that there is a bestselling book – and movie – entirely about the few (very wealthy) people that managed to do it (Lewis 2011). This was, of course, one of the most remarked-upon aspects of the housing bubble and subsequent collapse: so much so that financial literacy and improved disclosure rules have become near-universal policy responses to the broader rise of financialization.

In comparison, REITs and REOCs sport a comparatively high degree of transparency about their underlying assets. This is due in part to the *listed* part of listed real estate: unlike the less-regulated over-the-counter nature of mortgage derivatives, REITs and REOCs must meet more stringent corporate disclosure rules implemented by the exchanges themselves. More than that, the funds advertise themselves to investors by selling the physical characteristics of the underlying property. That is, investors buy shares in REITs and REOCs partly based on their assessment of the financial performance of the fund and partly based on their assessment of its properties – an alignment between real and financial actors which exists with rental financialization to a much greater degree than with conventional MBS. At the very least, this alignment of interests might be expected to generate less market volatility – though there is no reason to expect tenants to benefit.

Thirdly and related to this last point, tenants' relationships with their homes is far less modified through financialization than the relationship between purchased homes and indebted homeowners. There is a substantive difference between obtaining and owning a physical home outright (i.e., ownership without a

mortgage, through mechanisms like inheritance) and possessing the junior claim to the value of the home (i.e., ownership with a mortgage). Referring back to linkages with the “big” definition of financialization, any development that further increases homeowners’ reliance on mortgages will invite more financial forces into their daily lives (Martin 2002). It will also have manifest impact on the sort of terms available to both buyers and sellers.

However, this is not the case with rental financialization – at least not to the same extent. There is no new third party – akin to the mortgage lender – with its own financially derived preferences that might be divorced from those of both buyers and seller. Unlike mortgage-lenders, the newly introduced third party to the transaction in this case (the shareholder) has interests broadly similar to the pre-financialization owner. While some pressures on the landlord might substantively change – especially when considering which buildings to buy and where – the relationship between landlord and tenant remains relatively unchanged. In cases where a property management company is used, a tenant might not even realize as their home is passed from family ownership to a private equity firm to a REIT. In each case, the reciprocal responsibilities between tenant and landlord are determined outside financial markets – and are generally mediated heavily by the state.

Of course, this is not to say that the financialization of MFR properties has *no* impact on housing market outcomes – that would invalidate this whole endeavor! Rather, the most substantial consequences of rental housing financialization alter the relationship between real estate companies, local authorities, and

shareholders – while leaving the existing landlord-tenant relationship largely in place. Rental housing financialization still renders housing more subject to the demands of financial markets, even if tenants are partly insulated from this by virtue of their own precarity. As with the earlier explosion of mortgage finance, rental financialization constitutes a new frontier for mainstream financial actors, bringing them into new spaces. In that sense, it is still financialization – and certainly falls within the concept of housing financialization. Nevertheless, rental housing financialization appears different in ways which justify its existence as a separate idea within the universe of financialization concepts.

5 Conclusion

On a practical level, what then does the existence of rental housing financialization imply for housing shortages, prices, and volatility?

The impact on the market for sold homes is likely to be minimal in the short term. Most rental financialization is oriented toward larger housing blocks rather than single-family units. Conversely, mortgage-driven financialization of homeownership is more concentrated in single-family units. The limited substitutability between a rented apartment and a purchased detached or semi-detached home insulates these markets from each other to a certain degree. However, over longer time horizons, it is reasonable to expect that housing shortages (or shortages of housing at affordable prices) may fuel more demand for rental property. Conversely, it is plausible that rapid growth in the availability of quality rented homes may have a depressing effect on prices for purchased homes.

However, rental housing financialization should have a major impact on the distribution of rental housing availability – especially in those dynamic local economies targeted by REITs and REOCs. Given their investment strategies, listed real estate appears certain to boost the supply and quality of housing intended for relatively well-educated workers earning around the median income. For this slice of the workforce, the effect of rental financialization may well be increased availability and affordability of quality urban housing.

There may be fruitful connections here to Thomas Piketty's (2020) *Capital and Ideology* in that we can identify beneficiaries of REIT-and-REOC-driven housing provision within multiple elite groups. As we have established, these funds prefer to provide for asset-poor but education-rich urban professionals, especially in their younger years. Furthermore, asset-rich elites also benefit from the integration of a new class of assets into mainstream financial markets, while limiting any downside that might come with increasing the supply of single-family properties. From an elite perspective, this may be close to a rare win–win in housing policy.

For renters who lack both human and physical capital, there is far less cause for optimism. Not only are many of these people too asset-poor to climb the housing ladder, they are too precarious as workers to appealing as tenants to REITs and REOCs. Worse, the expansion of higher-quality urban housing often results in the removal of existing property serving these poorer communities. In short, absent major efforts to orient listed real estate toward social ends – for instance, through public co-financing – there is more than a little cause to assess these financial structures as

further exacerbating the divide between insiders and outsiders to the knowledge- and asset-driven globalized urban economy.

Notes

1. France is excluded from this as CBRE does not collect French data – though the Ile de France region is one of the largest target markets for REIT and REOC investment.

References

- Aalbers MB (2008) The financialization of home and the mortgage market crisis. Compet Chang 12(2):148–166. https://doi.org/10.1179/102452908X289802 **Article** **Google Scholar**
- Aalbers MB (2015) The potential for financialization. Dialogues in Human Geography 5(2):214–219. https://doi.org/10.1177/2043820615588158 **Article** **Google Scholar**
- Aalbers MB (2017) The variegated financialization of housing: THE VARIEGATED FINANCIALIZATION OF HOUSING. Int J Urban Reg Res 41(4):542–554. https://doi.org/10.1111/1468-2427.12522 **Article** **Google Scholar**
- Aalbers MB, Christophers B (2014) Centring housing in political economy. Hous Theory Soc 31(4):373–394. https://doi.org/10.1080/14036096.2014.947082 **Article** **Google Scholar**
- Aimco (2020) Investor presentation. https://s1.q4cdn.com/176956323/files/doc_presentations/2020/11/AIR_November_Presentation_Final.pdf. Accessed 7 Dec 2020

- Alter A, Dokko J, Seneviratne D (2018) House price synchronicity, banking integration, and global financial conditions. WP/18/250. Working Paper. International Monetary Fund
- Anderson B (2019) SFR investors dispute resident lawsuits that claim bad management practices. National Real Estate Investor. February 25, 2019. https://www.nreionline.com/single-family-rentals/sfr-investors-dispute-resident-lawsuits-claim-bad-management-practices
- Arrighi G (1994) The Long Twentieth Century: Money, Power, and the Origins of Our Times. Verso, London

  Google Scholar
- Ascott Residential Trust (2020) REITs Symposium 2020 Online Edition. September 19. https://investor.ascottresidencetrust.com/newsroom/20200918_174403_HMN_IBBKMKYUICE6HMU8.1.pdf. Accessed 10 Dec 2020
- August M (2020) The financialization of Canadian multi-family rental housing: from trailer to tower. J Urban Aff 42(7):975–997. https://doi.org/10.1080/07352166.2019.1705846

  Article **Google Scholar**
- August M, Walks A (2018) Gentrification, suburban decline, and the financialization of multi-family rental housing: The case of Toronto. Geoforum 89:124–36. https://doi.org/10.1016/j.geoforum.2017.04.011
- Aveline-Dubach N (2020) The financialization of rental housing in Tokyo. *Land Use Policy*, January, 104463. https://doi.org/10.1016/j.landusepol.2020.104463
- Bloomberg (2020) China takes first steps toward $3 trillion REIT market. *Bloomberg.Com*, June 2,

2020. https://www.bloomberg.com/news/articles/2020-06-02/china-takes-first-steps-toward-launching-3-trillion-reit-market

- Brumer L (2019) The affordable housing crisis and investor opportunity. Motley Fool. September 18, 2019. https://www.fool.com/millionacres/real-estate-market/articles/affordable-housing-crisis-and-opportunity-it-presents-real-estate-investors/
- Caballero RJ, Farhi E, Gourinchas P-O (2017) The safe assets shortage conundrum. Journal of Economic Perspectives 31(3):29–46. https://doi.org/10.1257/jep.31.3.29 **Article** **Google Scholar**
- CBRE (2019) Capital flows into European multifamily housing. CBRE Research. https://www.cbre.de/en/research/Capital-Flows-into-European-Multifamily-Housing. Accessed 28 Oct 2020
- Chong F (2019) China: the year of the C-REIT? Real Assets. October 2019. https://realassets.ipe.com/china-the-year-of-the-c-reit/10033322.article. Accessed 10 Dec 2020
- Christophers B (2015) The limits to financialization. Dialogues in Human Geography 5(2):183–200. https://doi.org/10.1177/2043820615588153 **Article** **Google Scholar**
- Civitas Housing PLC (2019) Half year report. Civitas Housing. https://www.civitassocialhousing.com/media/1529/csh-plc-hy19_web.pdf. Accessed 7 Jun 2021
- Corcoran J (2020) Residential REITs: a potential bright spot in challenging times. *Invesco Blog* (blog). May 1, 2020. https://www.blog.invesco.us.com/residential-reits-a-potential-bright-spot-in-challenging-times/

- Engelen E (2008) The case for financialization. Compet Chang 12(2):111–119. https://doi.org/10.1179/102452908X289776

  Article **Google Scholar**
- EPRA (2017) German residential champion Vonovia clears the mist over organic growth model. *EPRA Newsletter*, no. 59 (May). https://magazine.epra.com/wp-content/uploads/2018/06/EPRA-Industry-Newsletter-59-May2017.pdf. Accessed 3 Dec 2020
- Epstein G (2005) *Financialization and the World Economy*. Northampton: Edward Elgar
- Equity Residential (2020) Investor Update. Accessed 7 Dec 2020
- FMO (2019) SUN communities took homes according to yet another lawsuit. Federation of Manufactured Home Owners of Florida. December 1, 2019. https://fmo.org/blog/id/155
- Fuller GW (2016) The great debt transformation: households, financialization, and policy responses. Palgrave Macmillan, New York

  Book **Google Scholar**
- Fuller GW (2019) The Political Economy of Housing Financialization Comparative Political Economy. Agenda Publishing, Newcastle upon Tyne

  Google Scholar
- Gecina (2019) Building the future. Presented at the Investor Day 2019, Paris, September 25. https://www.gecina.fr/sites/default/files/2019-09/investor-day_vdef_site_internet.pdf. Accessed 8 Dec 2020
- Greenspan A (2000) Technological innovation and the economy -- April 5, 2000. FRB Remarks, White House Conference on the New Economy, April

5. https://www.federalreserve.gov/boarddocs/speeches/2000/20000405.htm. Accessed 3 Jun 2021

- Hellwig MF (2009) Systemic risk in the financial sector: an analysis of the subprime-mortgage financial crisis. De Economist 157(2):129–207. https://doi.org/10.1007/s10645-009-9110-0 **Article** **Google Scholar**
- Hilbers P (2020) Property price dynamics: domestic and international drivers. 64. Committee on the Global Financial System. Bank for International Settlements. https://www.bis.org/publ/cgfs64.pdf. Accessed 11 Dec 2020
- Huang Y (2010) An investigation into the use of REITs to finance affordable housing in Mainland China. PhD Dissertation, Cambridge MA: Massachusetts Institute of Technology. https://dspace.mit.edu/handle/1721.1/59741. Accessed 10 Dec 2020
- Hueang J (2019) A study of using REITs as an alternative way of financing affordable housing in Chinese major cities, based on the context of Nanjing. PhD Dissertation, Glasgow: University of Glasgow. http://theses.gla.ac.uk/41096/7/2019huangphd.pdf. Accessed 10 Dec 2020
- Irish Residential Property REIT (2020) Building communities and creating value. EPRA 2020 Conference, September 10. https://investorrelations.iresreit.ie/sites/ires-ir/files/2020-09/epra-conference-presentation.pdf. Accessed 8 Dec 2020
- Jensen J (2018) Morningstar: five cities determine major apartment REIT performance. *HousingWire* (blog). May 23, 2018. https://www.housingwire.com/articles/43452-morningstar-five-cities-determine-major-apartment-reit-performance/

- JLL (2020) Interactive flows map | the investor. Jones Lang LaSalle Incorporated. https://www.theinvestor.jll/interactive-flows-map/. Accessed 10 Dec 2020
- Jones K, Andreas K, Schuetze A (2016) UPDATE 2-Vonovia's hostile bid for Deutsche Wohnen crumbles. *Reuters*, February 10, 2016. https://de.reuters.com/article/deutsche-wohnen-ma-vonovia-idUKL8N15P32M
- Kaplan T (2014) Jury awards record $111 million to trailer park residents. *The Mercury News* (blog). April 20, 2014. https://www.mercurynews.com/2014/04/20/jury-awards-record-111-million-to-trailer-park-residents/
- Korthals Altes WK (2019) Annington versus Deutsche Annington: private equity and housing in the Anglo-Saxon and Rhenish contexts. Hous Theory Soc 36(2):228–253. https://doi.org/10.1080/14036096.2018.1479300 **Article** **Google Scholar**
- Lee R, Clark GL, Pollard JS, Leyshon A (2009) The remit of financial geographY—before and after the crisis. Journal of Economic Geography 9(5):723–747. https://doi.org/10.1093/jeg/lbp035 **Article** **Google Scholar**
- Lewis M (2011) The Big Short : Inside the Doomsday Machine. W.W. Norton, New York

  Google Scholar
- Lima V (2020) The financialization of rental housing: Evictions and rent regulation. Cities 105:102787. https://doi.org/10.1016/j.cities.2020.102787
- Lin YC, Lee CL, Newell G (2019) The significance of residential REITs in Japan as an institutionalised property sector. Journal of

Property Investment & Finance 37(4):363–379. https://doi.org/10.1108/JPIF-03-2019-0036

Article **Google Scholar**

- Liu A, Shim I, Sushko V (2020) Cross-border commercial real estate investment in Asia-Pacific. Bank for International Settlements
- Lumsden G (2018) Multifamily housing REIT scraps flotation, returns money. Citywire. November 7, 2018. https://citywire.co.uk/investment-trust-insider/news/multifamily-housing-reit-scraps-flotation-returns-money/a1173047
- Magdoff H, Sweezy P (1987) Stagnation and the financial explosion. Monthly Review Press, New York

  Google Scholar
- Martin R (2002) Financialization of daily life. Temple University Press, Philadelphia

  Google Scholar
- Marzuki MJ, Newell G (2019) The evolution of Belgium REITs. Journal of Property Investment & Finance 37(4):345–362. https://doi.org/10.1108/JPIF-03-2019-0029

  Article **Google Scholar**
- McDonald PR (2020) Is billionaire landlord Sam Zell the quintessential corporate vulture? CityWatch Los Angeles. June 22, 2020. https://www.citywatchla.com/index.php/cw/los-angeles/19965-is-billionaire-landlord-sam-zell-the-quintessential-corporate-vulture
- Mian A, Sufi A (2014) House of debt: how they (and you) caused the great recession, and how we can prevent it from happening again. The University of Chicago Press, Chicago

  Book **Google Scholar**

- Mian A, Sufi A (2018) Finance and business cycles: the credit-driven household demand channel. Journal of Economic Perspectives 32(3):31–58. https://doi.org/10.1257/jep.32.3.31
  Article **Google Scholar**
- Morwa R (2020) Why residential REITs are set to soar. Seeking Alpha. August 29, 2020. https://seekingalpha.com/article/4371226-why-residential-reits-are-set-to-soar
- Nareit (2020) U.S. REIT Industry Equity Market Cap. Nareit. 2020. https://www.reit.com/data-research/reit-market-data/us-reit-industry-equity-market-cap
- NMHC (2020) 2018 owner list. National Multifamily Housing Council. 2020. https://www.nmhc.org/research-insight/the-nmhc-50/top-50-lists/2018-owner-list/. Accessed 10 Dec 2020
- Piketty T (2020) *Capital and ideology*. Translated by Arthur Goldhammer. Cambridge, Massachusetts ; London, England: Harvard University Press
- Roberts M, Tostevin P (2020) Global living - 2020. World Research. Savills. https://pdf.euro.savills.co.uk/global-research/savills-global-living-2020.pdf. Accessed 4 Dec 2020
- Romainville A (2017) The financialization of housing production in Brussels: the financialization of housing production in Brussels. Int J Urban Reg Res 41(4):623–641. https://doi.org/10.1111/1468-2427.12517
  Article **Google Scholar**
- Semuels A (2019) When Wall Street is your landlord. *The Atlantic*, February 13, 2019. https://www.theatlantic.com/technology/archive/2019/02/single-family-landlords-wall-street/582394/. Accessed 8 Dec 2020

- Stachen J (2020) EMEA Market Outlook 2020 Midyear Review. CBRE Research. https://www.cbre.it/en/research-and-reports/EMEA-Real-Estate-Market-Outlook-2020-Multifamily. Accessed 8 Dec 2020
- Stannard M (2018) REITs as a force for good. Grant Thornton UK LLP. June 13, 2018. https://www.grantthornton.co.uk/en/insights/reits-a-force-for-good/
- Strauss LC (2020) Residential REITs will weather the coronavirus crisis better than malls. Here's why. Barron's. March 28, 2020. https://www.barrons.com/articles/residential-reits-will-weather-the-crisis-better-than-malls-51585402200
- UDR (2020) Investor presentation. November. https://s27.q4cdn.com/542031646/files/doc_presentations/2020/11/1/Investor-Presentation.pdf. Accessed 7 Jun 2021
- UN Human Rights Council (2017) Report of the special rapporteur on adequate housing as a component of the right to an adequate standard of living, and on the right to non-discrimination in this context. A/HRC/34/51. United Nations Human Rights Council. http://unhousingrapp.org/user/pages/04.resources/Thematic-Report-3-The-Financialization-of-Housing.pdf. Accessed 22 May 2021
- Vonovia (2020a) Shareholder structure. Vonovia Interim Statement Q3 2020. September 30, 2020. https://reports.vonovia.de/2020/q3/en/business-development/vonovia-se-in-the-capital-market/shareholder-structure.html
- Vonovia (2020b) 9M 2020 Investor presentation. November 4. https://investoren.vonovia.de/download/companies/deutscheanningtonimmo/Presentations/2020_11_04_Vonovia_Q32020.pdf

- Waldron R (2018) Capitalizing on the state: the political economy of real estate investment trusts and the ‘resolution’ of the crisis. Geoforum 90(March):206–218. https://doi.org/10.1016/j.geoforum.2018.02.014 **Article** **Google Scholar**
- Wendt A (1998) On constitution and causation in international relations. Rev Int Stud 24(5):101–118. https://doi.org/10.1017/S0260210598001028 **Article** **Google Scholar**
- Wijburg G, Aalbers MB, Heeg S (2018) The Financialisation of Rental Housing 2.0: releasing housing into the privatised mainstream of capital accumulation. Antipode. 50(4):1098–1119. https://doi.org/10.1111/anti.12382 **Article** **Google Scholar**
- Wotapka D (2012) Advocates take aim at equity residential. *Wall Street Journal*, July 31, 2012, sec. Real Estate. https://online.wsj.com/article/SB10000872396390444130304577561312886228138.html
- Yuen C (2016) Residents protest as link REIT cancels meeting about rent hikes, outsourcing. Hong Kong Free Press HKFP. May 6, 2016. https://hongkongfp.com/2016/05/06/residents-protest-link-reit-cancels-meeting-rent-hikes-outsourcing/

Download references

Author information

Authors and Affiliations

1. **Department of International Relations and International Organization, University of Groningen, 26 Oude Kijk in’t Jatstraat, 9712 EK, Groningen, The Netherlands**

Gregory W. Fuller

Corresponding author

Correspondence to Gregory W. Fuller.

Rights and permissions

Open Access This article is licensed under a Creative Commons Attribution 4.0 International License, which permits use, sharing, adaptation, distribution and reproduction in any medium or format, as long as you give appropriate credit to the original author(s) and the source, provide a link to the Creative Commons licence, and indicate if changes were made. The images or other third party material in this article are included in the article's Creative Commons licence, unless indicated otherwise in a credit line to the material. If material is not included in the article's Creative Commons licence and your intended use is not permitted by statutory regulation or exceeds the permitted use, you will need to obtain permission directly from the copyright holder. To view a copy of this licence, visit http://creativecommons.org/licenses/by/4.0/.

Reprints and Permissions

About this article

Check for updates

Cite this article

Fuller, G.W. The financialization of rented homes: continuity and change in housing financialization. *Rev Evol Polit Econ* **2**, 551–570 (2021). https://doi.org/10.1007/s43253-021-00050-7

Download citation

- Received
- Accepted

- Published
- Issue Date
- https://doi.org/10.1007/s43253-021-00050-7

Share this article

Anyone you share the following link with will be able to read this content:

Published:

Buy-to-Rent Investors and the Market for Single Family Homes

•Walter D'Lima &
•Paul Schultz

The Journal of Real Estate Finance and Economics volume **64**, pages 116–152 (2022) Cite this article

Abstract

We examine the impact of house purchases by large buy-to-rent investors on local real estate markets. First, we present micro-level evidence of positive externalities from institutional entry. We show that returns on repeat sales of properties near purchases by buy-to-rent investors are significantly greater if the repeat sale concluded after the buy-to-rent purchase rather than before. Secondly, we highlight the potential channel underlying such an externality as a supply side effect. Specifically, we show that properties outside the price range normally paid by buy-to-rent investors experienced smaller gains after nearby buy-to-rent purchases. Thus, buy-to-rent investors appear to increase the value of properties in an area by reducing the local supply. Lastly, we document mortgage market effects due to institutional purchases and related supply effects. We show that mortgage use increased after the buy-to-rent purchases of nearby properties and

that the increase arises from existing lenders that operate in the market rather than new lenders entering the market.

This is a preview of subscription content, access via your institution.

Notes

1. Information is incomplete for some Georgia counties before the financial crisis. Hence, we do not include Georgia in Figures 1 and 2.
2. The algorithm matches based on the “spelling distance” between the institution name and buyer name specified in the deed transactions. The matching algorithm is not perfect and does a better job for full names rather than acronyms.
3. These regressions are run using Stata. In Stata, when fixed effects are used, the intercept is the average fixed effect.
4. Georgia is omitted because lender identities are seldom included in the mortgage data.

References

- Adams, Z., Füss, R., & Schindler, F. (2015). The sources of risk spillovers among US REITs: Financial characteristics and regional proximity. *Real Estate Economics, 43*(1), 67–100. **Article** **Google Scholar**
- Allen, M., Rutherford, J., Rutherford, R., & Yavas, A. (2018). Impact of investors in distressed housing markets. *Journal of Real Estate Finance and Economics, 56*, 622–652. **Article** **Google Scholar**
- Anenberg, E., & Kung, E. (2014). Estimates of the size and source of price declines due to nearby foreclosures. *American Economic Review, 104*(8), 2527–2551.

Article **Google Scholar**

- Beracha, E., Feng, Z., & Hardin, W. G. (2019). REIT operational efficiency: Performance, risk, and return. *The Journal of Real Estate Finance and Economics, 58*(3), 408–437.

  Article **Google Scholar**

- Edelman, S. (2014). Meet the new landlords: The rise of single-family investors in the housing market. *Community Investment, 26*(2), 26–29.

  Google Scholar

- Ganduri, Rohan, Steven Xiao, and Serena Xiao, 2019, The rise of institutional investment in the residential real estate market, working paper, Emory University.
- Gerardi, K., Rosenblatt, E., Willen, P., & Yao, V. (2015). Foreclosure externalities: New evidence. *Journal of Urban Economics, 87*, 42–56.

  Article **Google Scholar**

- Henderson, J. V., & Ioannides, Y. M. (1983). A model of housing tenure choice. *The American Economic Review, 73*(1), 98–113.

  Google Scholar

- Khater, S. (2013). The rise of institutional investors and the decline of REOs. *The MarketPulse Vol, 2*(3), 3–5.

  Google Scholar

- Li, Q., Ling, D.C., Mori, M. and Ong, S.E., 2018, The wealth effects of REIT property acquisitions and dispositions: The creditors' perspective. The Journal of Real Estate Finance and Economics, pp.1–30.
- Ling, D.C., Wang, C. and Zhou, T., 2019, The geography of real property information and investment: Firm location, Asset Location and Institutional Ownership. Real Estate Economics.

- Mills, J., Molloy, R., & Zarutskie, R. (2019). Large-scale buy-to-rent investors in the single-family housing market: The emergence of a new asset class. *Real Estate Economics, 47*(2), 399–430. **Article** **Google Scholar**
- Schnure, Calvin, 2014, Single family rentals: Demographic, structural and financial forces driving the new business model, working paper, National Association of Real Estate Investment Trusts.
- Smith, Patrick, and Crocker Liu, 2017, Institutional investment, asset illiquidity and post-crash housing market dynamics, forthcoming, Real Estate Economics.
- Wang, K., Grissom, T., Webb, J., & Spellman, L. (1991). The impact of rental properties on the value of single-family residences. *Journal of Urban Economics, 30*, 152–166. **Article** **Google Scholar**

Download references

Acknowledgements

We are grateful to Hank Bessembinder, Francois Cocquemas, Shane Corwin, Yuliya Demyanyk, David Echeverry, Paul Gao, David Hutchison, Alberto Rossi, Sophie Shive, Lin Sun and seminar participants at Arizona State University, Florida International University, Florida State University, University of Illinois-Chicago and the University of Notre Dame for comments. The authors declare that they have no conflict of interest. Data provided by Zillow through the Zillow Transaction and Assessment Dataset (ZTRAX). More information on accessing the data can be found at http://www.zillow.com/ztrax. The results and opinions are those of the authors and do not reflect the position of Zillow Group.

Author information

Authors and Affiliations

1. **Strome College of Business, Old Dominion University, Norfolk, VA, 23529, USA**

   Walter D'Lima

2. **Mendoza College of Business, University of Notre Dame, Notre Dame, IN, 46556, USA**

   Paul Schultz

Corresponding author

Correspondence to Walter D'Lima.

Ethics declarations

Conflicts of Interest/Competing Interests

The authors declare that they have no conflict of interest.

Additional information

Publisher's Note

Springer Nature remains neutral with regard to jurisdictional claims in published maps and institutional affiliations.

Rights and permissions

Reprints and Permissions

About this article

Check for updates

Cite this article

D'Lima, W., Schultz, P. Buy-to-Rent Investors and the Market for Single Family Homes. *J Real Estate Finan Econ* **64**, 116–152 (2022). https://doi.org/10.1007/s11146-020-09790-5

Download citation

RESIDENTIAL LETTINGS

2.9 million homes in private rented sector need upgrade to reach EPC C2

"Over half (2.9 million) of homes in the private rented sector need upgrading to meet proposed regulations to bring all properties to EPC C"

https://web.archive.org/web/20230809191743/https://www.savills.co.uk/insight-and-opinion/savills-news/349900/2.9-million-homes-in-private-rented-sector-need-upgrade-to-reach-epc-c

UK BTR market update

Summary of Key Points: UK Build to Rent Market Update Q2 2024

- **Investment Growth**: The UK Build to Rent (BTR) sector saw £1.3 billion in investments in Q2 2024, a 38% increase year-on-year, bringing H1 totals to over £2.6 billion, surpassing previous highs.

- **Single Family Housing (SFH)**: SFH accounted for 56% of total investment in Q2, driven by significant transactions like Vistry's £580 million sale to Leaf Living. The number of completed SFH homes is projected to double by 2026.

- **Market Dynamics**: Smaller deal sizes indicate greater liquidity and a shift in investor focus towards diverse sub-sectors within BTR, including co-living.

- **Completions and Supply**: There are currently 114,207 completed BTR homes, with potential for record-breaking deliveries in 2024. BTR homes now make up 7.6% of net additional dwellings.

- **Market Value**: The value of the UK rental accommodation market is estimated at £79 billion, expected to rise to £127 billion by 2029.

- **Rental Trends**: Annual BTR asking rents outside London rose by 4.2%, indicating a return to sustainable growth levels after recent surges.

- **Future Outlook**: Economic improvements, including potential interest rate cuts, are anticipated to boost transaction activity and investor confidence in the BTR sector.

Overview

The UK BTR market is experiencing robust growth, driven by increased investment in single-family housing and a diverse range of offerings, while rental growth is stabilizing amidst ongoing demand pressures.

Spoytlight: The challenges of unlocking Section 106 deliver

Summary of Key Points on Section 106 Delivery

Overview:

The demand for Section 106 homes has significantly declined due to constrained financial capacity among Registered Providers and a focus on existing stock investment. This decline poses risks to overall housing delivery in the UK.

Key Challenges:

1. **Financial Constraints:** Over half (53%) of Housing Associations are reducing or eliminating their requirements for Section 106 homes, driven by financial pressures, rising costs, and commitments to existing stock.

2. **Shift in Development Focus:** Larger Registered Providers are prioritizing grant-funded developments over Section 106, which is expected to account for over 50% of future affordable housing delivery.

3. **Market Mismatch:** There is a disconnect between what developers are building and what Housing Associations want, particularly regarding build standards and sustainability.

Survey Insights:

- 75% of Housing Associations indicated that financial capacity affects their appetite for Section 106 homes.

- 67% expect financial challenges to persist for at least two to five years.

- Enhanced sustainability and energy efficiency standards are crucial for encouraging demand for Section 106 homes.

Solutions Proposed:

1. **Supporting Demand:** Increase financial capacity through long-term rent settlements and grant funding.

2. **Improving Supply Quality:** Enhance build standards and engage Registered Providers earlier in the planning process.

3. **Planning Flexibility:** Introduce more adaptable planning policies to facilitate housing delivery, allowing for alternative tenures if Section 106 homes are not viable.

Conclusion:

Immediate interventions are needed to address the lack of demand for Section 106 housing to prevent further disruption in new home delivery. Collaboration between local authorities and developers is essential to create a more sustainable housing market.

THE SAVILLS BLOG

What can the rural sector expect from a Labour government?

11 JULY 2024

At the start of the year the Labour party quoted that a new deal for farmers had to be delivered as over 6,000 agricultural businesses had ceased since 2017.

In the run-up to the general election, the party acknowledged the rural sector had endured its fair share of change and required a steadying of the ship. Meanwhile, members of the Labour party repeatedly referred to their ambition to grow the economy,

specifically a ‘kick-start for rural growth’ with a recognition that rural communities have been in decline.

So, a week on from the election, what can we expect to hear from the new government about a new deal for farmers? Steve Reed has been appointed Secretary of State for Environment, Food and Rural Affairs and has released his top five priorities:

1. Clean up our rivers, lakes and seas
2. Zero waste economy
3. Boost food security
4. Nature recovery
5. Protecting communities from flooding

Environmental priorities, commitments and pledges came to the fore in the Labour manifesto and although there was mention of food and food production, it was light.

The environment

Mr Reed recently stated that ‘Labour will invest in the natural world’. Much was mentioned in the manifesto about protection and restoration of the environment with a commitment to deliver the Environment Act targets through the Environmental Improvement Plan. The manifesto made a pledge to make the Environmental Land Management Scheme and Biodiversity Net Gain work and further statements in recent months have made reference to Natural Flood Management Schemes with the proposed introduction of a Cobra-style cross-government group. In addition, we could see new green policies specifically on National Parks and Landscapes. Tree planting continues to be high up the agenda and Labour appears alive to the fact that a Land Use Framework is essential, stating that ‘without it, it is difficult to take granular decisions and the need is to get the balance right on the demands of land’.

Food

While the headline of food security is national security made it into the manifesto, we await the detail of what this actually means. One commitment was a focus on food procurement for the public sector with 50% of all food purchased across the public sector to be locally produced or certified to higher environmental standards. Labour has said they will look to slash red tape at the borders with the aim to increase the flow of exports.

Two areas in which we are likely to see significant change for the rural sector are energy and planning.

Energy

Labour plans to establish GB Energy with the premise of lowering energy bills for the rural sector. Their aim is to create a clean energy revolution with the British Infrastructure Council looking to unlock private investment for national infrastructure projects. Labour would enact their Warm Homes Plan and invest an extra £6.6bn over the next parliament to upgrade 5 million homes.

Planning

Labour has been explicit in its manifesto to reform planning for homes and infrastructure; to speed up brownfield site development and unlock land in the grey belt. Labour cites a housing crisis but states houses will not be built at the expense of the environment. Additionally, Labour is looking to speed up planning decisions in other areas such as renewable energy.

What next?

A big unknown is the budget. The agricultural budget was £3.7bn for the UK and £2.4bn for England; Labour has said it will make decisions on the future of the budget based on the first spending review later this year. So how will Labour fund their commitments to the UK? Two areas mentioned are:

1. Revenue from closing further non-domiciled (non-dom) tax loopholes and investment in reducing tax avoidance.
2. Revenue from applying VAT and business rates to private schools.

Labour intends to transfer the power from Westminster to rural communities and do away with in the words of Mr Reed ‘dictatorship’. Farmers, landowners and investors need certainty for confidence particularly as they continue to work through the agricultural transition and I would suggest the government will do well to provide clear leadership at this time and generate the confidence needed.

JULY 19, 2024

The UK’s Broken Housing Market

Overview of "The UK’s Broken Housing Market"
Key Points:
Housing Crisis: The UK faces a severe housing crisis characterized by high prices, low rates of owner-occupation, and increasing rents, primarily due to inadequate housebuilding.

Causes:

Planning System: The post-war planning regime, established in 1947, restricts land availability and fails to respond to market demands.
Supply and Demand Imbalance: There is a significant imbalance between housing supply and demand, exacerbated by misconceptions about land scarcity and the planning system's inefficiencies.
Consequences:

Economic Impact: The deficiencies in the housing market hinder economic growth, increase inequality, and negatively affect quality of life.
Social Issues: Rising house prices contribute to social instability, affecting family formation and leading to increased living with parents among young adults.
Policy Recommendations:

Reform Planning System: Transition to a rules-based system that encourages development, particularly on brownfield sites and some green belt land.
Increase Supply: Implement measures to significantly increase housing stock through reforms and incentives for local authorities and developers.
Land Value Tax (LVT): Consider introducing an LVT to discourage land banking and promote efficient land use.
Financial Incentives: Enhance the New Homes Bonus and adjust council tax to encourage development and support local authorities.
Long-term Vision: A reformed housing market should aim for stable house prices aligned with earnings, ensuring housing affordability and enhancing overall economic performance.

Political Feasibility: Achieving these reforms requires overcoming vested interests and building a cross-party consensus to address the housing crisis sustainably.

This summary encapsulates the critical issues and proposed solutions regarding the UK's housing market as discussed in the report.

Build-to-Rent Q2 2024 Prepared by Savills for the British Property Federation.

Overview of Build-to-Rent Q2 2024

Key Points

Under Construction:
- Units under construction decreased by 19% from Q2 2023.
- London has 13,200 homes under construction; regions have 32,000.

Completions:
- Over 115,000 units completed, a 24% increase year-on-year.
- London reached 50,000 completions; regions surpassed this with 65,100.
- Annual completions are at record levels, 2.5 times the 2017-19 average.

Planning:
- Homes in planning fell slightly by 2% to 102,500.
- London has 35,700 homes in planning; regions have 65,000.
- Detailed permissions remain high at 57,000, supporting future construction.

Sector Pipeline:
- Total pipeline (completed, under construction, in planning) stands at nearly 262,000.
- The sector grew by 4% over the past year.

Statistics Comparison (Q2 2024 vs. Q2 2023):
- **Completed:** 115,778 (up 24%)
- **Under Construction:** 45,410 (down 19%)
- **In Planning:** 100,681 (down 2%)

Regional Growth:
- London saw a 15% increase in completions but a 21% decrease in construction.
- Regions experienced a 31% increase in completions but a 19% decrease in construction.

Future Outlook:

- The number of local authorities with Build-to-Rent projects remains stable at 208, with expectations for growth in Single Family Housing across the UK.

BRICK
BY
BRICK
A PLAN TO DELIVER
THE SOCIAL HOMES WE NEED
Venus Galarza, Hannah Rich, Charlie Trew, Sam Bloomer, Charlie Berry and William Matthews.

Overview of Key Points from the "Brick by Brick" Report

1. **Housing Emergency**: The report emphasizes the growing housing crisis in England, highlighting the urgent need for action to provide affordable social housing.

2. **Current Situation**: Millions live in inadequate conditions, with 1.3 million households on social housing waiting lists and over 145,000 homeless children in temporary accommodation.

3. **Social Rent Homes**: A call for the construction of at least 90,000 social rent homes annually for the next decade is presented as a solution to the housing emergency.

4. **Economic Benefits**: Building social rent homes is linked to significant economic benefits, estimated at £51.2 billion over 30 years, including savings on housing benefits and health care costs.

5. **Six-Point Plan**:
   - **Set Clear Ambition**: Establish a clear government goal for social housing.
   - **New Affordable Homes Programme**: Revamp funding to prioritize social rent homes.
   - **Unlock Land System**: Reform land acquisition processes to reduce costs.
   - **Revitalize Planning System**: Streamline planning to ensure timely approvals for new homes.

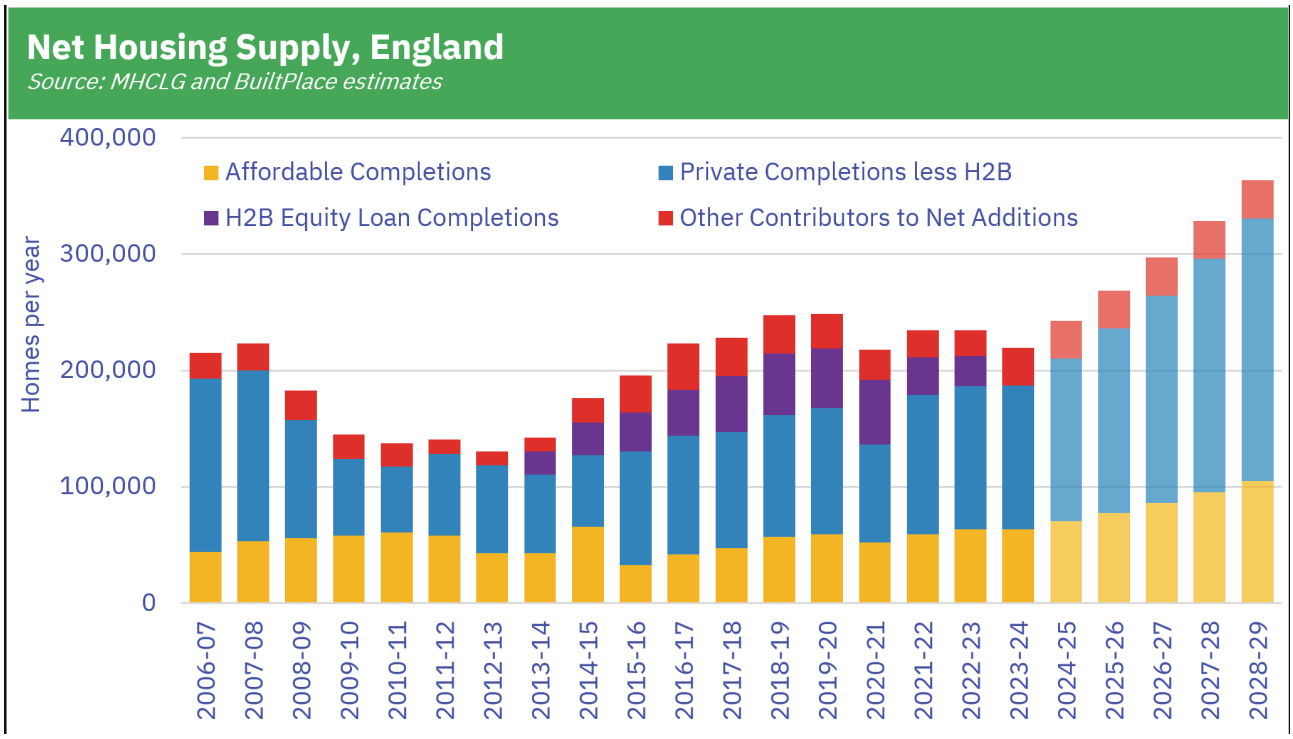
- **Boost Council Housing**: Encourage local councils to build more social homes.
- **Innovative Delivery Methods**: Explore alternative ways to deliver housing, such as converting empty homes and supporting community land trusts.

6. **Community Involvement**: Emphasizes the role of community-led housing initiatives, such as Community Land Trusts (CLTs), in addressing local housing needs.

7. **Long-term Strategy**: Advocates for a comprehensive and sustainable approach to housing that includes retrofitting existing homes for energy efficiency and tackling climate change.

8. **Conclusion**: The report stresses that a coordinated effort from the government, local authorities, and communities is crucial to reversing the current housing crisis and achieving the proposed targets for social housing.

https://builtplace.com/wp-content/uploads/2024/07/Chart-of-the-Week-2024.07.12-1.png



Accredited official statistics

Updated 28 June 2024

Accredited official statistics
UK monthly property transactions commentary
Updated 28 June 2024.

Headline statistics
Headline statistics from the latest transactions data include:

- the provisional seasonally adjusted estimate of the number of residential transactions in May 2024 is 91,290, 17% higher than May 2023 and 2% higher than April 2024
- the provisional non-seasonally adjusted estimate of the number of residential transactions in May 2024 is 91,660, 24% higher than May 2023 and 18% higher than April 2024
- the provisional seasonally adjusted estimate of the number of non-residential transactions in May 2024 is 10,130, 6% higher than May 2023 and 1% higher than April 2024
- the provisional non-seasonally adjusted estimate of the number of non-residential transactions in May 2024 is 10,110, 9% higher than May 2023 and less than 1% lower April 2024

The latest data tables on housing market and house prices.

Live tables on housing market and house prices

Bank Rate maintained at 5.25% - June 2024
Monetary Policy Summary and minutes of the Monetary Policy Committee meeting

Summary of Key Points from the Monetary Policy Summary and Minutes (June 2024)

Monetary Policy Decision:
- The Monetary Policy Committee (MPC) voted 7-2 to maintain the Bank Rate at 5.25%.
- Two members preferred a reduction to 5.0%.

Inflation and Economic Indicators:
- CPI inflation fell to 2.0% in May, down from 3.2% in March.
- UK GDP grew stronger than expected in the first half of 2024, with a growth rate of 0.6% in Q1.
- Short-term inflation expectations for households have moderated.

Labour Market:

- The labour market continues to loosen but remains tight by historical standards.
- Employment growth has slowed, with a decline in vacancies.

Consumer Prices and Services:
- Services inflation was 5.7% in May, slightly above projections.
- There are signs of rising consumer demand, but households remain cautious about major purchases.

Monetary Policy Outlook:
- The MPC believes monetary policy needs to remain restrictive to sustainably return inflation to the 2% target.
- Future adjustments to the Bank Rate will depend on economic data and inflation persistence.

International Economic Context:
- Global GDP growth is steady, with contributions from major economies like the US and Euro-area.
- Commodity prices, particularly oil and gas, have seen increases recently.

Operational Considerations:
- The stock of UK government bonds held for monetary policy purposes was £696 billion.

Conclusion:
- The MPC is prepared to adjust monetary policy based on ongoing economic data and inflation trends, emphasizing the importance of maintaining price stability.

Land Matters: The Critical Role of Sales Outlets in Boosting Housing Supply
20 JUNE 2024
Summary of Key Points

Overview:
The report emphasizes the critical role of sales outlets in enhancing housing supply, outlining the challenges faced and the necessary actions for the new Government to address declining planning consents and sales outlets.

Key Findings:

1. **Decline in Planning Consents:** The number of sites gaining planning consent has reached a 15-year low, particularly affecting smaller sites, which poses a significant threat to housing delivery.

2. **Sales Rates:** Housebuilder sales rates have stabilized between 0.5 and 0.6 sales per outlet per week since mid-2022, down from an average of around 0.7. A return to higher sales rates will require demand support or bulk sales.

3. **Need for Smaller Sites:** Urgent action is required to reverse the decline in smaller sites gaining consent, as these sites are crucial for the growth of housebuilders, especially SMEs and new entrants.

4. **Market Conditions:** Local planning authorities must adapt to changing market conditions, as housebuilders seek to open more outlets to maintain delivery volumes, but are hindered by a lack of available sites.

5. **Recommendations for Planning Policy:**
   - Implement immediate measures to grant consent for a large number of smaller sites.
   - Revise the National Planning Policy Framework (NPPF) to ensure a diverse range of site sizes and types.

6. **Housing Targets:** Achieving the goal of delivering 1.5 million homes within five years will require a substantial increase in smaller sites early in the next parliament.

7. **Financial Challenges:** The financial capacity of Housing Associations has decreased, impacting affordable housing provision. Restoring this capacity should be a priority.

8. **Future Outlook:** Planning consent for one million new homes on sites with fewer than 250 plots is necessary to support the total delivery of 1.5 million homes between 2025 and 2030.

9. **Strategic Planning:** A diverse range of site allocations is essential to avoid over-reliance on large sites, which can lead to delays in housing delivery.

10. **Conclusion:** Swift intervention is needed to reverse the trend of falling planning consents and ensure a sufficient land supply for new housing developments.